

AN APPRAISAL REPORT  
OF AN

**INDUSTRIAL BUILDING**

**LOCATED AT**  
1105 West 100 South  
Provo, Utah 84601

**REPORT #25.051.C**

**DATE OF VALUATION**  
August 18, 2025

**PREPARED FOR**  
Mr. Evan Mickelsen  
EVKELL LLC  
1109 West 100 South  
Provo, Utah 84601

**PREPARED BY**  
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September 26, 2025

Mr. Evan Mickelsen  
EVKELL LLC  
1109 West 100 South  
Provo, Utah 84601

RE: An appraisal report on the "as is" market value of an industrial building, located at 1105 West 100 South, Provo, Utah.

Dear Mr. Mickelsen:

At your request, I have prepared the following appraisal report on the above referenced property. The purpose of the appraisal report is to determine the "as is" market value with a current valuation date. The valuation date is the last date of personal inspection by the appraiser, which was August 18, 2025. This appraisal will be used by Mr. Mickelsen and his assignees for internal management purposes.

Per your request, the appraisal report has been prepared in a manner to conform to the Uniform Standards of Professional Appraisal Practice (USPAP) adopted by the Appraisal Standards of the Appraisal Foundation.

The "as is" subject property represents an industrial building having 20,580 square feet of gross building area. The building was constructed new in 1999 and is of average quality Class "S" (steel) construction. The interior is currently demised to support one user but could also support two users with minimal effort. The interior build-out includes 5,160 square feet (25.0%) of office space and 15,420 square feet (75.0%) of warehouse space. The building improvements are situated within a 1.58 acre, or 68,824 square foot improved site. Therefore, the building-to-land ratio is 29.9 percent. This ratio is typical of other industrial buildings in the market, and it is concluded that there is no excess land.

All build-out is based on physical inspection performed by the appraiser and information provided by the Utah County Assessor. Details of the building and site improvements can be found in the body of this report.

Mr. Mickelsen  
September 26, 2025  
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The subject building is leased to an owner related entity and is considered owner occupied. As such, the subject is valued fee simple. In the fee simple valuation, the Sales Comparison and Income Capitalization Approaches to value have been expanded and reconciled into a final value estimate. Given the age of the building, the Cost Approach is not considered to be applicable. Based on current marketing conditions, the estimated exposure/marketing time for the subject property is three to six months.

After careful consideration of the information and analysis contained within this report, I am of the opinion that the "as is" market value of the subject property, with fee simple property rights, as of August 18, 2025, is:

**\$3,810,000**

**"THREE MILLION EIGHT HUNDRED TEN THOUSAND DOLLARS"**

The value estimate is for real estate only and does not include any personal property. No hypothetical conditions and/or extra ordinary assumptions that would have a substantial effect on value are noted.

This letter of transmittal is not to be misconstrued as an appraisal report, but merely indicates the final value estimate developed in the following report. The following report provides supporting data, assumptions, and justifications for my final value conclusions. The appraisal is made subject to the general assumptions and limiting conditions stated at the end of the report. Please feel free to call if there are any questions.

Respectfully submitted,



Bradford Dyreng, MAI

|                                                                                    |
|------------------------------------------------------------------------------------|
| Utah State - Certified General Appraiser<br>License # 6168334-CG00 (Exp. 11/30/25) |
|------------------------------------------------------------------------------------|





## **SUMMARY OF IMPORTANT FACTS AND CONCLUSIONS**

|                        |                                                                                                                                                                                                                                                                                                                                                                   |
|------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| SUBJECT:               | Industrial Building                                                                                                                                                                                                                                                                                                                                               |
| LOCATION:              | 1105 West 100 South, Provo, Utah                                                                                                                                                                                                                                                                                                                                  |
| HIGHEST AND BEST USE:  |                                                                                                                                                                                                                                                                                                                                                                   |
| Land as if Vacant -    | Industrial Uses.                                                                                                                                                                                                                                                                                                                                                  |
| Property As Improved - | For the continuation of the existing use.                                                                                                                                                                                                                                                                                                                         |
| SITE:                  | 1.58 acre, or 68,824 square foot improved site. The site has been improved with asphalt drive/parking areas and concrete curbing/flatwork.                                                                                                                                                                                                                        |
| EXCESS LAND:           | None                                                                                                                                                                                                                                                                                                                                                              |
| IMPROVEMENTS:          | An average quality Class "S" (steel) industrial building having 20,580 square feet of gross building area. The interior build-out includes 5,160 square feet (25.0%) of office space and 15,420 square feet (75.0%) of warehouse space. The warehouse space has a 21-25 foot clear height. There are 4 overhead doors which do not provide for dock high loading. |
| YEAR CONSTRUCTED:      | 1999                                                                                                                                                                                                                                                                                                                                                              |
| EFFECTIVE AGE:         | 10 years                                                                                                                                                                                                                                                                                                                                                          |
| NEIGHBORHOOD:          | Industrial area of Provo City                                                                                                                                                                                                                                                                                                                                     |
| FRONTAGE/ACCESS:       | 100 South Street                                                                                                                                                                                                                                                                                                                                                  |
| ZONING:                | FC2; (Freeway Commercial Zone)                                                                                                                                                                                                                                                                                                                                    |
| TAX ID NUMBER:         | 35:407:0003                                                                                                                                                                                                                                                                                                                                                       |
| OWNER OF RECORD:       | EVKELL LLC                                                                                                                                                                                                                                                                                                                                                        |
| APPRAISED INTEREST:    | Fee Simple Estate                                                                                                                                                                                                                                                                                                                                                 |
| VALUATION DATE:        | August 18, 2025                                                                                                                                                                                                                                                                                                                                                   |
| DATE OF REPORT:        | September 26, 2025                                                                                                                                                                                                                                                                                                                                                |

## **SUMMARY - CONTINUED**

### **VALUATION CONCLUSIONS "AS IS":**

|                                 |    |           |
|---------------------------------|----|-----------|
| Cost Approach:                  | \$ | n/a       |
| Sales Comparison Approach:      | \$ | 3,810,000 |
| Income Capitalization Approach: | \$ | 3,810,000 |

|                        |    |           |
|------------------------|----|-----------|
| CONCLUDED FINAL VALUE: | \$ | 3,810,000 |
| Building Improvements: | \$ | 3,810,000 |
| Excess Land:           | \$ | 0         |
| Personal Property:     | \$ | 0         |

EXPOSURE/MARKETING TIME: Three to Six Months

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**IDENTIFICATION OF THE PROPERTY**

The subject property represents an industrial building located at 1105 West 100 South, Provo, Utah. The subject is recognized by Utah County as tax parcel number 35:407:0003. A legal description of this tax parcel, as provided by the Utah County Recorder's Office, can be found in the addendum.

**PURPOSE AND USE OF THE APPRAISAL**

The purpose of the appraisal is to estimate the "as is" market value of the real property taking into account the leased fee property rights. The appraisal has been ordered by Mr. Evan Mickelsen, with EVKELL LLC, located in Provo, Utah. This appraisal will be used by Mr. Mickelsen and his assignees for internal management purposes and to determine market value for contesting the assessed value.

**SCOPE OF THE APPRAISAL ASSIGNMENT**

After receiving the appraisal assignment, a preliminary search of all available resources was made to determine market trends, influences and other significant factors pertaining to the subject property. My research included, but was not limited to, talking with local property owners, city and county officials, brokers, appraisers, and local business owners. All of the sales data and rental information has been verified. The subject property was thoroughly inspected by Bradford Dyreng on August 18, 2025.

The subject building is leased to an owner related entity and is considered owner occupied. As such, the subject is valued fee simple. In the fee simple valuation, the Sales Comparison and Income Capitalization Approaches to value have been expanded and reconciled into a final value estimate. Given the age of the building, the Cost Approach is not considered to be applicable.

To report the assignment results, we use the Appraisal Report option of Standards Rule 2-2(a) of the 2024-2025 edition of the Uniform Standards of Professional Appraisal Practice (USPAP). USPAP gives appraisers the flexibility to vary the level of information in an Appraisal Report depending on the intended use and intended users of the appraisal. In this report, the analysis is performed at a moderate level of detail. It summarizes the information analyzed, the appraisal methods employed, and the reasoning that supports the analyses, opinions, and conclusions. It meets or exceeds the former Summary Appraisal Report requirements that were contained in the 2012-2013 edition of USPAP.

Understanding that Utah is a non-disclosure state, information used in this report is as reliable practical.

**DEFINITION OF MARKET VALUE**

The definition of "MARKET VALUE", as used in this report, is as follows:

"The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and each acting in what they consider their own best interests;
3. A reasonable time is allowed for exposure in the open market;
4. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale."<sup>1</sup>

**DEFINITION OF "AS IS" PREMISE**

The definition of "AS IS", as used in this report, is based on the following:

"Market Value "as is" on appraisal date means an estimate of the market value of a property in the condition observed upon inspection and as it physically and legally exists without hypothetical conditions, assumptions, or qualifications, as of the date the appraisal is prepared."<sup>2</sup>

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<sup>1</sup> *Federal Register*, Volume 55, Number 165, (August 24, 1990), Rules and Regulations, 12 CFR Part 34.42(f).

<sup>2</sup> Appraisal Policies and Practices of Insured Institutions and Service Corporations, Federal Home Loan Bank Board, "*Final Rule*", 12 CFR Parts 563 and 571, December 21, 1987.

**PROPERTY RIGHTS APPRAISED**

The subject is leased to a related entity and is essentially owner occupied. As such, the valuation will pertain to the fee simple estate. The definition of a fee simple property right is as follows:

**Fee Simple Estate**

"Absolute ownership unencumbered by any other interest or estate; subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat."<sup>3</sup>

**DATE OF THE APPRAISAL**

The effective date for the "as is" valuation of the appraisal is August 18, 2025. This is the last date of personal inspection by Bradford Dyreng.

The date of the report or completion date of the appraisal is September 26, 2025.

**STATEMENT OF OWNERSHIP**

The subject is currently vested in the name of EVKELL LLC.

**HISTORY OF THE SUBJECT PROPERTY**

The subject has been owned by EVKELL LLC for many years. Currently the subject is occupied by an entity/entities related to the subject owner. According to the owner the subject has not been listed on the open market over the past three years.

Other than that detailed above, there has been no other known market activity involving the subject in the past three years.

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<sup>3</sup> Appraisal Institute, *The Appraisal of Real Estate*, 11<sup>th</sup> ed., (Chicago: Appraisal Institute, 1996), 137.



## **NEIGHBORHOOD DATA**

The neighborhood analysis is an essential and critical section of the appraisal process. It identifies the specific area of analysis in which certain forces and influences will be analyzed in application of the three approaches to value. The forces influencing the neighborhood are very important when considering the immediate and long range use and value of the subject property. A neighborhood is defined as "A group of complementary land uses."<sup>4</sup> A district is more restrictive in definition and is defined as "A type of neighborhood that is characterized by homogeneous land use."<sup>5</sup>

### **Geographic Location**

Provo is located central within Utah County and is part of the greater Utah County area. Utah County is located 45 miles south of metropolitan Salt Lake City, which is the financial center for the Intermountain Region. The Provo/Orem area represents the financial center of Utah County with Provo representing the Utah County seat.

Utah County is surrounded by mountains forming a valley about 10 miles wide and 20 miles long. The Wasatch Mountains on the east and Utah Lake on the west nearly converge to form the south boundary. The north boundary is considered to be the "point of the mountain" which is located just north of Lehi City.

### **Population**

Utah County continues to benefit from strong population growth that comes from both positive attrition and in-migration. The National Census Bureau estimates the Utah County population at 719,714 in 2023, a 38.4 percent increase over 2010 data. Population figures below are for major cities in Utah County for years 2000, 2010, and 2023.

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<sup>4</sup>Appraisal Institute, *The Appraisal of Real Estate*, 11<sup>th</sup> ed., (Chicago: Appraisal Institute, 1996), 189.

<sup>5</sup>Ibid., 189.

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# AERIAL VIEW



| POPULATION DATA - UTAH COUNTY                                           |                |                |                |                                   |
|-------------------------------------------------------------------------|----------------|----------------|----------------|-----------------------------------|
| Municipality                                                            | 2000           | 2010           | 2023           | Average Annual Change 2010 - 2023 |
| <b>Provo</b>                                                            | <b>105,166</b> | <b>112,488</b> | <b>113,343</b> | <b>0.05%</b>                      |
| Orem                                                                    | 84,324         | 88,328         | 95,519         | 0.58%                             |
| Lehi                                                                    | 19,028         | 47,407         | 90,227         | 6.50%                             |
| Eagle Mountain                                                          | 2,825          | 21,415         | 56,932         | 11.85%                            |
| Saratoga Springs                                                        | 1,571          | 18,084         | 52,532         | 13.61%                            |
| Spanish Fork                                                            | 20,246         | 34,691         | 45,557         | 2.23%                             |
| American Fork                                                           | 21,941         | 26,263         | 38,549         | 3.35%                             |
| Pleasant Grove                                                          | 23,468         | 33,509         | 37,294         | 0.81%                             |
| Springville                                                             | 20,424         | 29,466         | 35,471         | 1.46%                             |
| Payson                                                                  | 12,790         | 18,950         | 24,054         | 1.92%                             |
| Other                                                                   | 71,988         | 111,137        | 130,236        | 1.22%                             |
| County Total                                                            | 368,536        | 520,049        | 719,714        | 2.74%                             |
| State of Utah                                                           | 2,233,000      | 2,763,885      | 3,417,734      | 1.70%                             |
| Source: Utah Department of Workforce Services, Labor Market Information |                |                |                |                                   |

The overall Utah County market has grown at an average annual rate of 2.74 percent over the past 14 years, consistent with the state wide average. It is projected that by 2030, Utah County will have a population of 853,711, an average growth rate of 2.69 percent. This is substantially higher than the projections for the State of Utah, which show a 2.39 percent growth rate over the same period. This upward trend will place upward pressure on all real estate sectors.

### Employment

The Utah County labor market is characterized by a diversified economy, with concentrations in the service and trade industries. This diversification is apparent by the chart presented on the following page for years 2010, 2018, and 2023.

| <b>EMPLOYMENT DATA - UTAH COUNTY</b>                                    |                      |                      |                      |                             |
|-------------------------------------------------------------------------|----------------------|----------------------|----------------------|-----------------------------|
| <b>Industry</b>                                                         | <b>Jobs<br/>2010</b> | <b>Jobs<br/>2018</b> | <b>Jobs<br/>2023</b> | <b>Percent<br/>Employed</b> |
| Mining                                                                  | 56                   | 133                  | 274                  | 0.09%                       |
| Construction                                                            | 9,675                | 24,609               | 29,953               | 9.76%                       |
| Manufacturing                                                           | 15,667               | 19,129               | 23,462               | 7.64%                       |
| Trans/Retail Trade/Utility                                              | 29,033               | 43,892               | 49,059               | 15.98%                      |
| Information                                                             | 7,867                | 12,801               | 13,717               | 4.47%                       |
| Finance                                                                 | 6,066                | 8,828                | 13,294               | 4.33%                       |
| Services                                                                | 79,714               | 118,152              | 140,368              | 45.72%                      |
| Government                                                              | 26,589               | 31,313               | 34,835               | 11.35%                      |
| Total                                                                   | 174,667              | 258,857              | 306,985              | 100.00%                     |
| Source: Utah Department of Workforce Services, Labor Market Information |                      |                      |                      |                             |

Total non-agricultural employment has had an average annual increase of 5.41 percent since 2010. Some of the larger employers include Brigham Young University, Intermountain Health Care, IM Flash, NuSkin, Nestle Prepared Foods, Adobe Systems, and DoTerra.

As of July 2025, Utah County and the State of Utah as a whole reported unemployment at 3.3 percent and 3.3 percent, down substantially from the high of July 2009 at 8.0 and 7.7 percent, respectively.

According to the Utah Department of Workforce Services, the 2023 per capita income for Utah County was \$57,619. This is below the Utah State level at \$64,175.

### Jurisdiction and Proximity

The subject is located within Provo City. Provo City is located central within Utah County. Provo combined with neighboring Orem City makes up the Provo/Orem metropolitan area. Provo City is the Utah County seat. Salt Lake City is located 40 miles to the north.

### Neighborhood Boundaries and Land Uses

Neighborhood boundaries are typically represented by natural or man-made features and are generally considered to be the central Provo area. Land within the neighborhood has been developed with a variety of commercial and residential uses.

The neighborhood is comprised of a variety of uses, with the majority being retail, office, and residential in nature. The majority of commercial uses are located along University Parkway, Center Street, and University Avenue. Development along University Avenue includes a variety of smaller to medium sized retail complexes combined with higher intensity office parks. The Shops at the Riverwoods and The Riverwoods Business Park are also located at this location. Additional commercial development is located to the south, in the downtown area at/near the University Avenue/Center Street intersection. Most of the structures represent a variety of smaller to medium sized office/retail buildings, with many of the buildings having zero lot lines. The Provo Towne Center Mall and a number of neighborhood shopping centers are located further to the south along University Avenue. Land along both corridors is largely built-out with most of the development being older to middle in age, but adequately maintained. Some renovation is occurring with much of the new construction located south and north along University Avenue.

Most of the remaining land is utilized for single-family residential development. Homes in the neighborhood are middle aged, with some new construction occurring throughout. Home values typically range from \$400,000 to \$1,000,000+, with pride of ownership being above average. Multi-family development is scattered throughout as allowed by zoning.

### Percent Built-Up

In order to determine the percentage of existing build-up in the neighborhood, a drive-through survey of the area was performed by the appraiser. Based on the survey, the area appears to be approximately 80 to 90 percent built-up. Much of the vacant land is located west within the neighborhood. There are a limited number of large land parcels remaining.

### Immediate Neighborhood

The subject is located in an industrial area located just east of Interstate 15 in Central Provo. The majority of the development west, south and north of the subject is industrial in nature. Land to the immediate north is industrial followed by residential development. The immediate neighborhood is 75 to 85 percent built-up with a limited number of smaller land parcels remaining.

### Access, Transportation, and Traffic Arteries

The general neighborhood is accessed from the north/south via University Avenue with access from the east/west via 800 North (Orem) and 4800 North (Center Street in Orem) and Center Street in Provo. University Avenue is a four-lane asphalt surfaced street and provides direct access to many locations within Provo City. Center Street is a four lane asphalt surfaced street that provides direct access to downtown Provo City and Interstate 15 and is near the subject location.

Access to the immediate neighborhood is provided by secondary streets that have been extended off University Avenue and Center Street, with the subject having access via 100 South that runs east to west. Interstate 15 is located 0.25 miles northwest of the subject via Center Street.

These and other streets in the neighborhood are asphalt paved, in average condition and publicly dedicated/maintained. Neighborhood access is considered to be average.

Public transportation in the area is by the UTA bus system. Bus stops are located on the major streets.



### Development Trends - Single Family Residential

Residential development is occurring as land parcels are being made available; primarily to the west and south within the neighborhood. A history of residential building permits for the Utah County and Provo marketplace is summarized in the following table.

| UNIT BUILDING PERMITS - UTAH COUNTY/PROVO |             |       |                      |
|-------------------------------------------|-------------|-------|----------------------|
| Year                                      | Utah County | Provo | Provo's Market Share |
| 2017                                      | 6,837       | 242   | 3.5%                 |
| 2018                                      | 6,715       | 388   | 5.8%                 |
| 2019                                      | 7,314       | 337   | 4.6%                 |
| 2020                                      | 8,419       | 675   | 8.0%                 |
| 2021                                      | 12,430      | 674   | 5.4%                 |
| 2022                                      | 8,555       | 371   | 4.6%                 |
| 2023                                      | 6,045       | 165   | 2.7%                 |
| 2024                                      | 6,630       | 130   | 2.0%                 |
| 2025 - Mar                                | 1,555       | 0     | 0.0%                 |
| Source: University of Utah BEBR           |             |       |                      |

With the increase in interest rates in 2022, the residential market softened with stabilization noted in 2023. Although Provo continues to capture a consistent percentage of housing within Utah County, the neighborhood is largely becoming built-up, and residential permits will likely remain consistent with past trends. Clearly demand continues to be stable.

According to the MLS there are 79 home listings in the Provo market, compared to 550 homes sold within the past 12 months. This is an inventory of 1.7 months. In the Utah County market there are 2,092 listings, compared to 6,469 homes sold in the past 12 months. This is an inventory of 3.9 months. An inventory of less than 12 months is considered to be average to good.

According to most home builders, current demand is for homes priced less than \$500,000. The following table summarizes activity for homes listed/sold under \$500,000 and over \$500,000 within the Utah County and Provo marketplace.



| <b>HOME INVENTORY BY PRICE RANGE - UTAH COUNTY/ PROVO</b> |                    |                 |             |                           |
|-----------------------------------------------------------|--------------------|-----------------|-------------|---------------------------|
| <b>Location</b>                                           | <b>Price Range</b> | <b>Listings</b> | <b>Sold</b> | <b>Inventory (Months)</b> |
| Utah County                                               | \$1 to \$500,000   | 277             | 1,399       | 2.4                       |
| Utah County                                               | \$500,001 plus     | 1,815           | 5,070       | 4.3                       |
| Provo                                                     | \$1 to \$500,000   | 22              | 182         | 1.5                       |
| Provo                                                     | \$500,001 plus     | 37              | 227         | 2.0                       |

As can be seen, in Utah County more of the demand is for homes valued greater than \$500,000, with demand in Provo being nearly equal for homes valued at/near \$500,000. A typical rule of thumb for home builders is that a lot needs to be purchased at 30 percent of the home's value. As such, lots valued near \$150,000 will be in most demand.

Although inventory levels continue to be low, inventory is up from the less than one month experienced prior to March of 2022. There has been a limited amount of new vertical construction and horizontal development taking place. As such, inventory is limited for both vacant lots/pads and improved structures.

Prior to the Spring of 2022, there was substantial upward pressure being placed on homes. However, with the increase in interest rates, demand has softened somewhat, with both values and absorption trends being off by 10 to 20 percent from 2022 data, with variances being primarily to location within Utah County and price point. Still, most have indicated values and absorption trends are showing signs of stabilization.

### Development Trends - Multi-Family Development

A recent survey of a number of projects in the immediate neighborhood indicated the following data.

| <b>COMPARABLE ABSORPTION SUMMARY</b> |                      |                           |                            |
|--------------------------------------|----------------------|---------------------------|----------------------------|
| <b>Name/<br/>Location</b>            | <b>Unit<br/>Size</b> | <b>Unit<br/>Price</b>     | <b>Monthly<br/>Absorb.</b> |
| Legacy<br>Spanish Fork               | 1,784 to<br>1,784 sf | \$400,000 to<br>\$420,000 | 2.00                       |
| Arrowhead Park<br>Payson             | 1,425 to<br>1,450 sf | \$350,000 to<br>\$370,000 | 2.00                       |
| Mapleton Village<br>Mapleton         | 2,300 to<br>2,350 sf | \$400,000 to<br>\$420,000 | 4.50                       |
| Eagle Point<br>Eagle Mountain        | 1,789 to<br>1,843 sf | \$380,000 to<br>\$405,000 | 3.50                       |
| Northshore<br>Saratoga Springs       | 1,311 to<br>2,205 sf | \$380,000 to<br>\$465,000 | 3.50                       |
| Jordan Walk<br>Lehi                  | 1,706 to<br>1,936 sf | \$435,000 to<br>\$460,000 | 3.00                       |
| Songbird Cove<br>Lindon              | 1,705 to<br>2,349    | \$585,000 to<br>\$645,000 | 2.50                       |

The data above is a reflection of the current market. Since the Spring of 2022, due to the increase in interest rates, both values and absorption have decreased by a reported 10 to 20 percent. Still, all developers noted that values and absorption have stabilized with some upward pressures noted.

With the high cost of home ownership, an increasing number of families are needing to rent. A survey of these projects indicated rapid absorption with most projects showing absorption trends at over 10 units per month. Further, all managers report continued increases in the rental rates with most reporting vacancy at/or less than 5 percent. Older less desirable projects will continue to under perform. With the increase in interest rates, it is anticipated that more people will need to rent, pushing both rental and occupancy rates upwards.

### Development Trends - Commercial

Within the Provo market, commercial development continues to occur at a moderate rate on a demand basis and primarily for the owner occupant. A history of commercial construction within the Utah County and Provo market is detailed in the following table.

| <b>COMMERCIAL CONSTRUCTION - UTAH COUNTY/ PROVO</b> |                          |                    |
|-----------------------------------------------------|--------------------------|--------------------|
| <b>Year</b>                                         | <b>Utah County (000)</b> | <b>Provo (000)</b> |
| 2017                                                | \$622,026.6              | \$141,012.1        |
| 2018                                                | \$523,037.8              | \$18,153.4         |
| 2019                                                | \$582,391.5              | \$5,646.5          |
| 2020                                                | \$830,804.7              | \$192,462.8        |
| 2021                                                | \$833,194.9              | \$53,102.7         |
| 2022                                                | \$877,996.9              | \$214,397.7        |
| 2023                                                | \$774,011.5              | \$17,828.5         |
| 2024                                                | \$668,312.3              | \$10,011.5         |
| 2025 - March                                        | \$128,391.3              | \$9,000.0          |
| Source: University of Utah BEBR                     |                          |                    |

Given its county seat status, Provo continues to capture a high percentage of commercial construction within the Utah County market. According to Provo City, construction for 2022 included a number of smaller to large sized projects scattered throughout the city. This development includes larger multi-family projects and a number of Class “A” office buildings.

### Property Turnover/Vacancy Rates

All real estate sectors are showing strong demand with upward pressures noted. Details as to industrial vacancy within the Utah County marketplace can be found in the following table.

| UTAH COUNTY VACANCY - INDUSTRIAL SPACE 2024 & 2020 |                       |                       |
|----------------------------------------------------|-----------------------|-----------------------|
| Industrial Sector                                  | Vacancy<br>2024 - 4th | Vacancy<br>2020 - 4th |
| Total                                              | 4.1%                  | 1.5%                  |
| Source: Commerce CRG                               |                       |                       |

The industrial market continues to remain stable with vacancy being consistent with 2023 data, which indicated a 4.0 percent vacancy rate. In 2024, there was 2,933,934 square feet of new construction, with 1,485,707 square feet of positive absorption. The forecast for industrial space is for moderate growth, with vacancy and rental rates remaining stable in the short term. Currently, the average asking rate is \$0.95/sf, triple net, with a forecast of modest increases going forward.

Both the office and retail sectors are also beginning to show signs of stabilizing. Details as they pertain to the office and retail sectors are summarized in the following table.

| UTAH COUNTY VACANCY - OFFICE/RETAIL SPACE 2024 & 2020 |                         |                         |
|-------------------------------------------------------|-------------------------|-------------------------|
| Office                                                | Available<br>2024 - 4th | Available<br>2020 - 4th |
| Total                                                 | 13.9%                   | 12.6%                   |
| Retail                                                |                         |                         |
| Total                                                 | 2.5%                    | 4.9%                    |
| Source: Commerce CRG                                  |                         |                         |

The office market continues to remain stable, with vacancy showing a modest increase from 2023 data, which indicated an 11.2 percent vacancy rate. In 2024, there was 27,475 square feet of new construction and 128,825 square feet of negative absorption, most of which was high quality space located in the north Utah County area. Much of the vacancy comes from high profile buildings, where office space that supports small business continues to have a low vacancy rates. Still, vacancy continues to be high and newer high quality space will continue to outperform the market. The average rental rate for office space is \$24.38/sf, full service with a forecast of modest increases into the near term.

The retail sector vacancy continues to show signs of improvement with vacancy being consistent with 2023 data, which indicated a 2.4 percent vacancy rate. In 2024, there was 473,589 square feet of new construction with 173,488 square feet of positive absorption. The average rental rate for retail space is \$26.50/sf, full service with a forecast of modest increases into the near term. Further, sales tax revenues continue to trend upwards, indicating that the market is on an upward trend.

#### Positive/Negative Influences

The subject is positively influenced by its central location within an industrial neighborhood near Interstate 15. No negative influences were noted.

#### Community Facilities and Services

General community facilities such as schools, places of worship, hospitals, and recreation centers are found within a close distance to the described neighborhood area. Utah County and Provo City services are considered to be adequate for local businesses and residences. Services provided include street maintenance, garbage pick-up, and police and fire protection.

#### Availability and Adequacy of Public Utilities

All utilities such as water, sewer, electricity, telephone, natural gas, and storm drainage systems have been provided throughout the neighborhood. The cost of utilities in this neighborhood is competitive with all other locations in the Utah County.

#### Nuisances, Hazards, and Adverse Influences

At this time, no significant detrimental influences exist relative to the neighborhood. An inspection and analysis of the subject neighborhood was performed and no items of external obsolescence were observed. Due to zoning restrictions and other legal considerations, no future detriments are anticipated.

### Conformity of Development and Uses

The subject property is zoned for commercial/industrial use. According to *The Appraisal of Real Estate*, conformity is defined as "the appraisal principle that holds that real property value is created and sustained when the characteristics of a property conform to the demands of its market."<sup>6</sup> It is necessary to analyze the conformance of the subject with regard to the surrounding uses since the conformance principle has a strong influence on the subject property's value.

Provo City has done a good job in providing areas for commercial, industrial and residential development. The zoning for the subject property conforms well with the existing uses in the neighborhood. No change in zoning is anticipated.

### Neighborhood Life Stage

According to *The Appraisal of Real Estate*, neighborhoods evolve through four stages which are as follows:

- "1. Growth - a period during which the neighborhood gains public favor and acceptance.
2. Stability - a period of equilibrium without marked gains or losses.
3. Decline - a period of diminishing demand.
4. Revitalization - a period of renewal, modernization, and increasing demand."<sup>7</sup>

The neighborhood is considered to be in the growth stage of its life cycle. Growth is occurring at slow to moderate rates within all real estate sectors.

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<sup>6</sup> Ibid., 41.

<sup>7</sup> Ibid., 174.



### Neighborhood Conclusion

The general neighborhood of the subject property has well defined boundaries and is located within the Provo City jurisdiction. A good zoning plan, as implemented by Provo City, has contributed to excellent conformity of uses. General and immediate access to the subject neighborhood is considered to be adequate.

The neighborhood is considered to be in a growth stage and is currently 80 to 90 percent built-up. With the increase in interest rates, there has been some softness in the residential sector, with recent stabilization noted. Both the commercial and industrial sectors remain stable. Still, newer aged/well located properties will continue to out perform the market. No detrimental conditions are noted. There are no signs of over construction within any given sector.

A snapshot report provided by the Utah Department of Economic Development, as it applies to Utah County, can be found in the addendum of this report. This report shows mid-term trends and graphs which may provide supplementary information to that detailed in the above analysis.

## **SITE DESCRIPTION**

### **Dimensions, Shape, and Area**

The improved site is situated within an inner block parcel, with the subject site sitting within a cul-de-sac and along the south side of 100 South.

A copy of the subject plat, found on the following page, shows the land associated with the subject to be irregular in shape. The legal description, found in the addendum, indicates that the subject land area is 1.58 acres, or 68,824 square feet in size.

The subject building has 20,580 square feet of gross building area and the subject's improved site has a building-to-land ratio of 29.9 percent (20,280 sf building area divided by 68,824 sf site). This ratio is typical by comparison and it is concluded that there is no excess land.

### **Topography and Drainage**

The site has a mostly level topography, is generally to street grade, and consistent with adjoining land parcels.

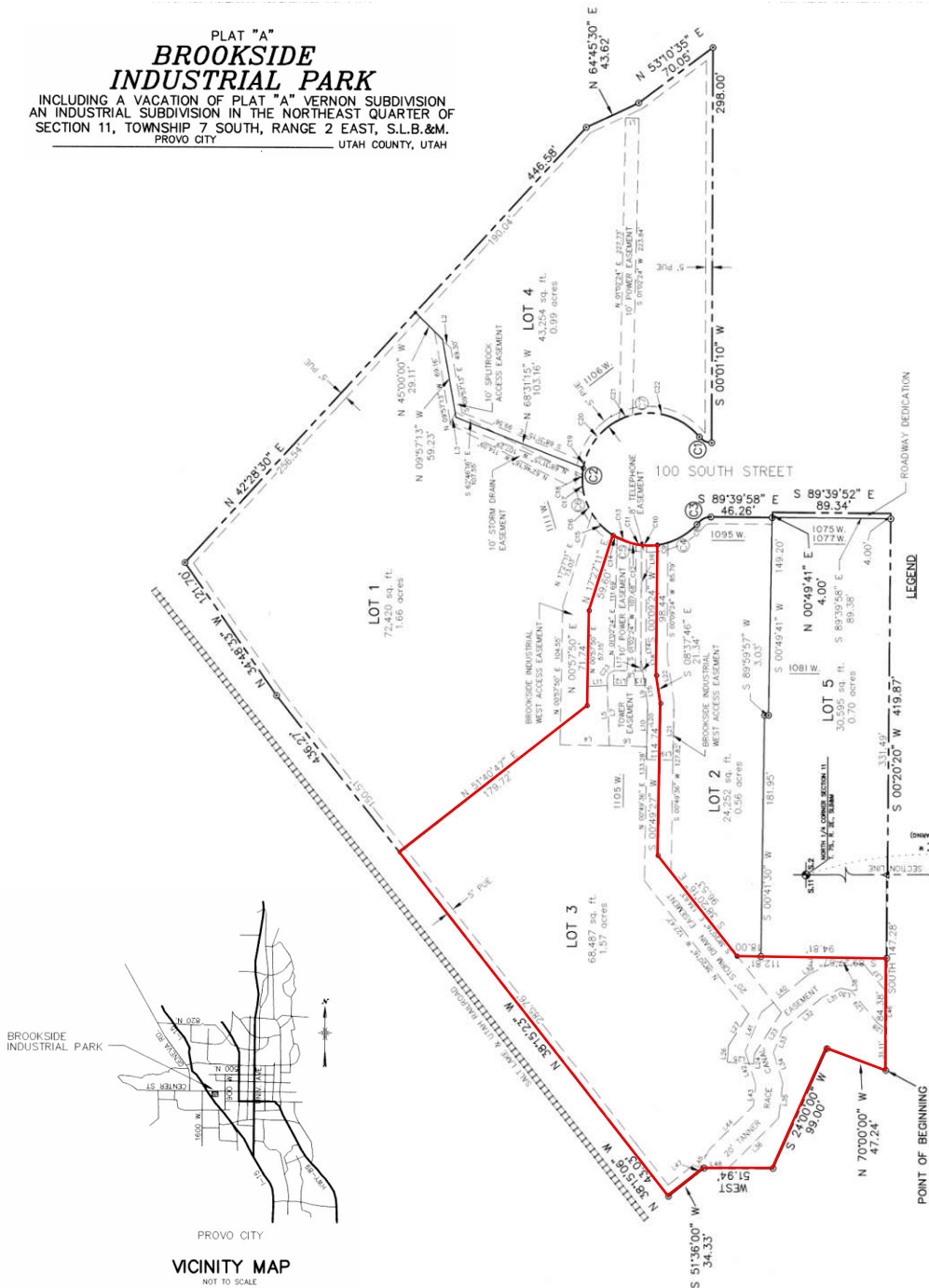
The natural drainage appears to be in an east to west direction. There are no signs of historical ponding and/or erosion. Curb/gutter and storm drainage are in place along the street frontage. In addition, on-site storm drainage and curbing have been installed within the improved site area. Street drainage appears to be adequate.

According to the Federal Emergency Management Agency (FEMA) Map #49049C0531F, dated June 19, 2020, the subject property is located in Zone "X", which is not a flood hazard area. A flood plain map can be found in the addendum.



# SUBDIVISION PLAT

PLAT "A"  
**BROOKSIDE  
INDUSTRIAL PARK**  
INCLUDING A VACATION OF PLAT "A" VERNON SUBDIVISION  
AN INDUSTRIAL SUBDIVISION IN THE NORTHEAST QUARTER OF  
SECTION 11, TOWNSHIP 7 SOUTH, RANGE 2 EAST, S.L.B.&M.  
PROVO CITY, UTAH COUNTY, UTAH



### Soil and Subsoil

No soil tests were provided to the appraiser. Based on surrounding development, the soil appears to have adequate load capacity to support the highest and best use. A geo-tech report is recommended to determine the soil stability and any collapsible soils would have an effect on the value estimate of this report. Further, a walk-through of the site showed no indications that the subject was encumbered with hazardous waste or would be classified as wetlands. The conclusion of this appraisal report is based on these assumptions.

### Utilities

According to Provo City, all necessary utilities are located to the site and have been stubbed into the building. All utilities have adequate capacity to support the subject's highest and best use.

### Access and Street Improvements

The overall site in which the subject is located has  $\pm 34.29$  feet of frontage along the south side of 100 South Street.

At the subject location, 100 South has two travel lanes and is classified as a local collector. It is noted that Center Street and Interstate 15 are located less than 0.25 miles to the west/northwest of the subject. This street is a major collector.

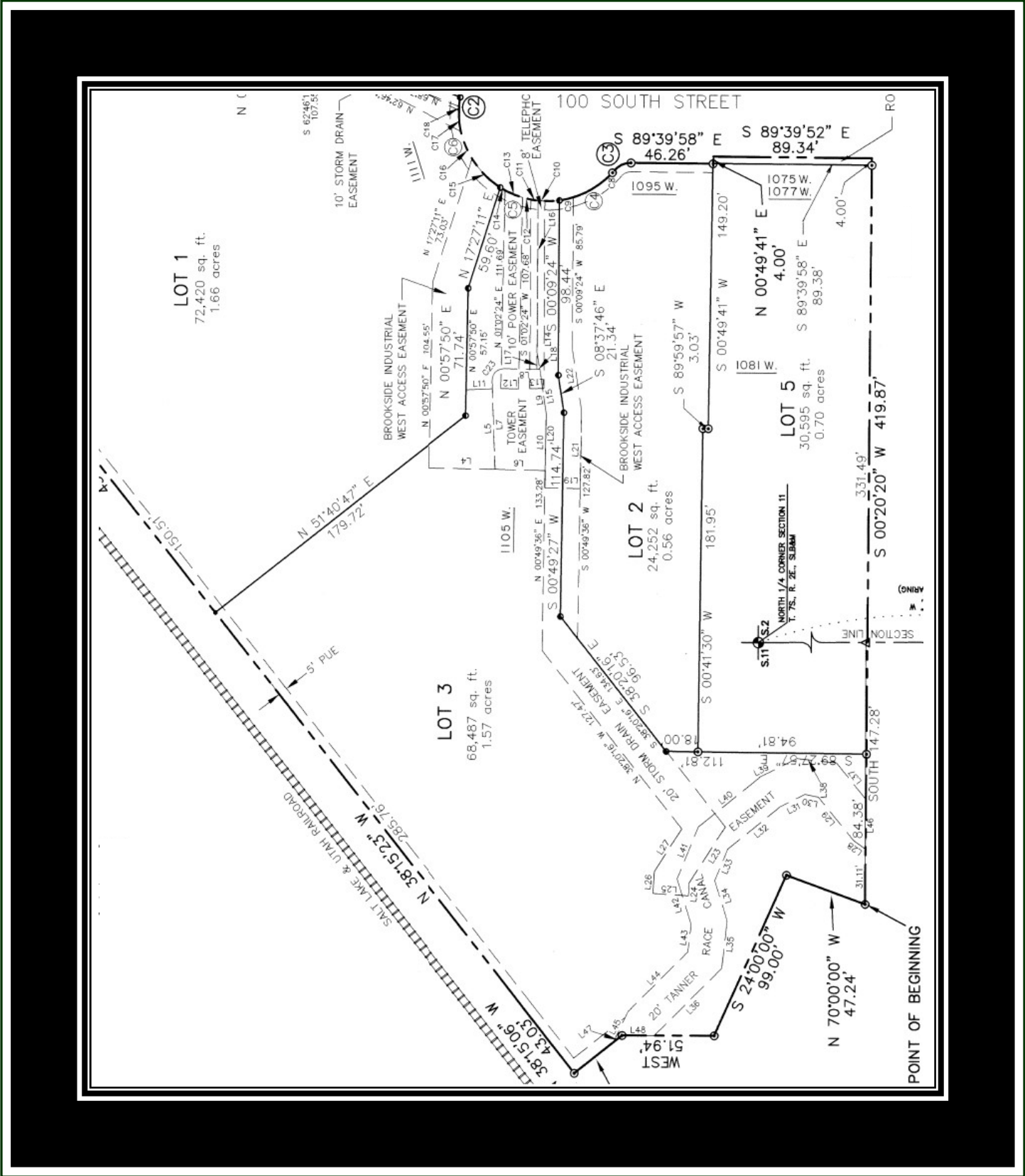
These and other streets in the immediate area are dedicated and maintained by Provo City and/or the Utah Department of Transportation. The site is concluded to have adequate ingress/egress with average exposure.

### Easements, Hazards, and Nuisances

The appraiser has not inspected a title report and cannot certify as to whether there are any easements of record. A review of the plat map and physical inspection of the subject did not indicate that the subject is encumbered with any easements, hazards and/or nuisances that would reduce the utility of the site. The value estimate of this report is based on these assumptions. It is noted that it appears that the subject has as access easements with the property to the west and with the property to the east. This appraisal assumes that the access is adequate for the subject to perform at its highest and best use.



# EASEMENT MAP



Positive/Negative Influences

The subject is positively influenced by close proximity to Interstate 15 and Center Street with surrounding development being mostly industrial.

For industrial use, this location has average exposure and average to above average local and interstate access. No negative influences were noted.

On-Site Improvements

The site area surrounding the subject building has been improved with asphalt paving, concrete curbing/flatwork. There is also a cell tower located within the subject site; this is not included in the valuation. Within the drive/parking area are ~38 marked parking stalls, located north, and east of the building. This equates to 1 stall for every 542 square feet of gross building area, an amount consistent with that required by the zone. Please note that currently the subject and neighboring building have some shared parking areas to aid in efficiency. Still it appears that the subject has adequate parking independently.

The building is situated west within the overall site with access to the overhead doors considered to be adequate.

All on-site improvements are typical for this type of building and are in above average condition with no signs of deferred maintenance.



## **ZONING**

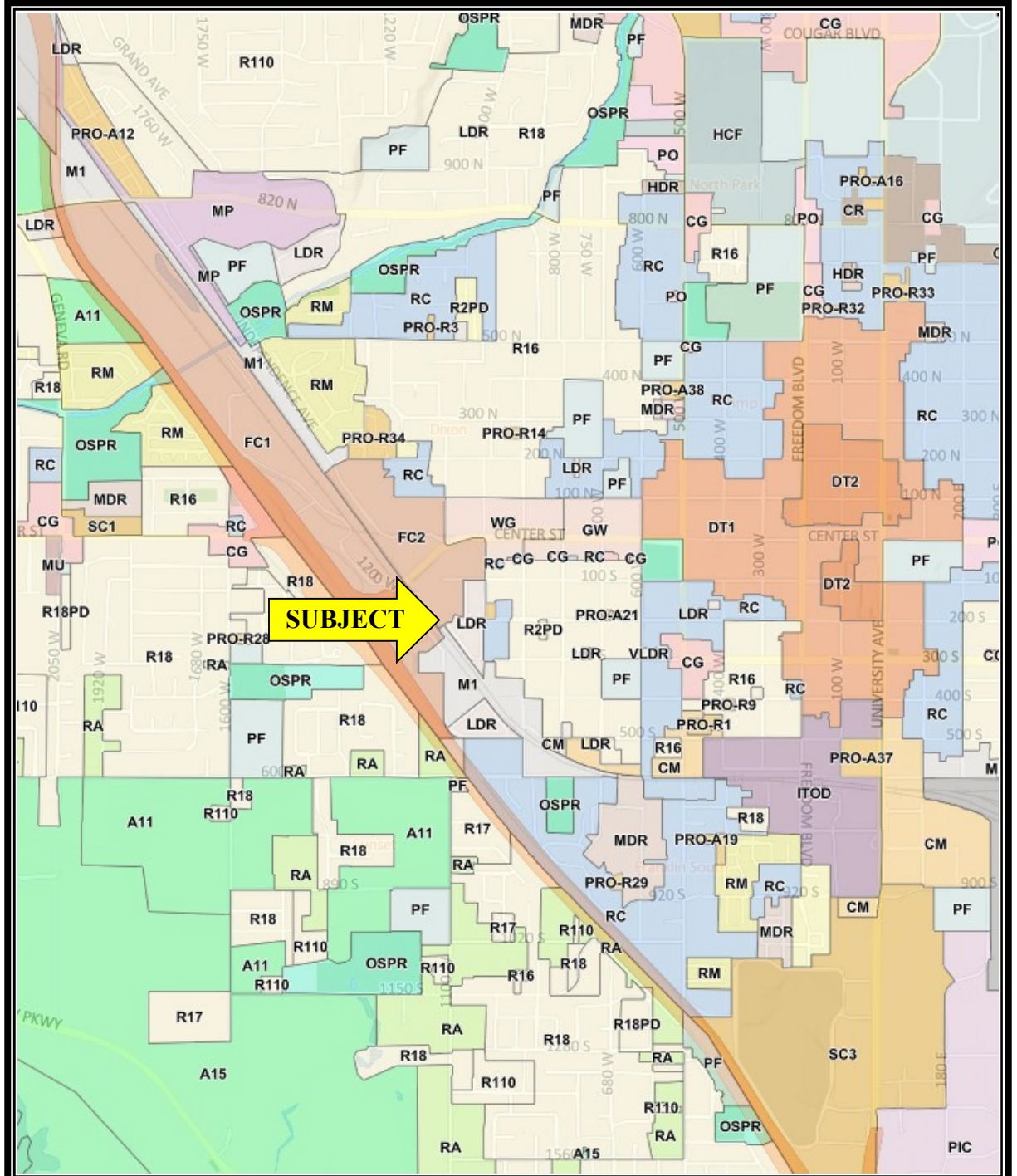
The subject property is located within the incorporated boundaries of Provo City, Utah, and is under that jurisdiction for zoning and enforcement. The current zoning for the subject is FC2, which is a Freeway Commercial Two Zone. Some of the permitted uses include a variety of retail, office, hospitality and industrial uses. The development standards of the FC2 zone are summarized as follows:

| <u>Development Standards</u> | <u>FC2</u>                                           |
|------------------------------|------------------------------------------------------|
| Minimum Lot Area:            | 1.00 acre                                            |
| Minimum Frontage:            | 100 feet                                             |
| Minimum Lot Width:           | 100 feet                                             |
| Minimum Lot Coverage:        | None                                                 |
| Front Setback:               | 10 feet                                              |
| Side Setback:                | 0 feet                                               |
| Rear Setback:                | 20 feet                                              |
| Building Height:             | 50 feet                                              |
| Landscape Coverage:          | Upon approval                                        |
| Parking (Warehouse):         | 1 space per 12,000 square feet of gross floor area.  |
| (Office):                    | 1.5 space per 1,000 square feet of gross floor area. |

Based on review of the development standards, the subject represents a legal and non-conforming use as to frontage. However, the subject project has been approved by Provo City.

A copy of the FC2 zoning ordinance is located in the addendum. A Provo City zoning map, showing the location of the subject, can be found on the following page.

# ZONING MAP



## **IMPROVEMENT DESCRIPTION**

### **General Description of Building**

The building description and area are based on physical inspection of the subject on August 18, 2025. The subject building is of average quality Class "S" (steel) construction. The building is supported by steel beams with steel facade. The roof is pitched with steel covering. The exterior wall height is 21 feet from finished grade. Clear height is 21-25 feet.

The build-out is located on a main level and upper level with the interior demised to support one or two users. Currently the subject is used to support one user. The following table shows the size of the building and breakdown of office/warehouse finish.

| <b>BUILDING BREAKDOWN</b> |                  |                     |                 |                       |                   |                     |
|---------------------------|------------------|---------------------|-----------------|-----------------------|-------------------|---------------------|
| <b>Level</b>              | <b>Office SF</b> | <b>Warehouse SF</b> | <b>Total SF</b> | <b>Percent Office</b> | <b># of Doors</b> | <b>Clear Height</b> |
| Main                      | 2,580            | 15,420              | 18,000          | 14.3%                 | 4                 | 21-25 ft            |
| Upper                     | 2,580            | 0                   | 2,580           | 100.00%               | 0                 | 9 ft                |
| <b>Total</b>              | <b>5,160</b>     | <b>15,420</b>       | <b>20,580</b>   | <b>25.0%</b>          | <b>4</b>          | <b>21-25 ft</b>     |

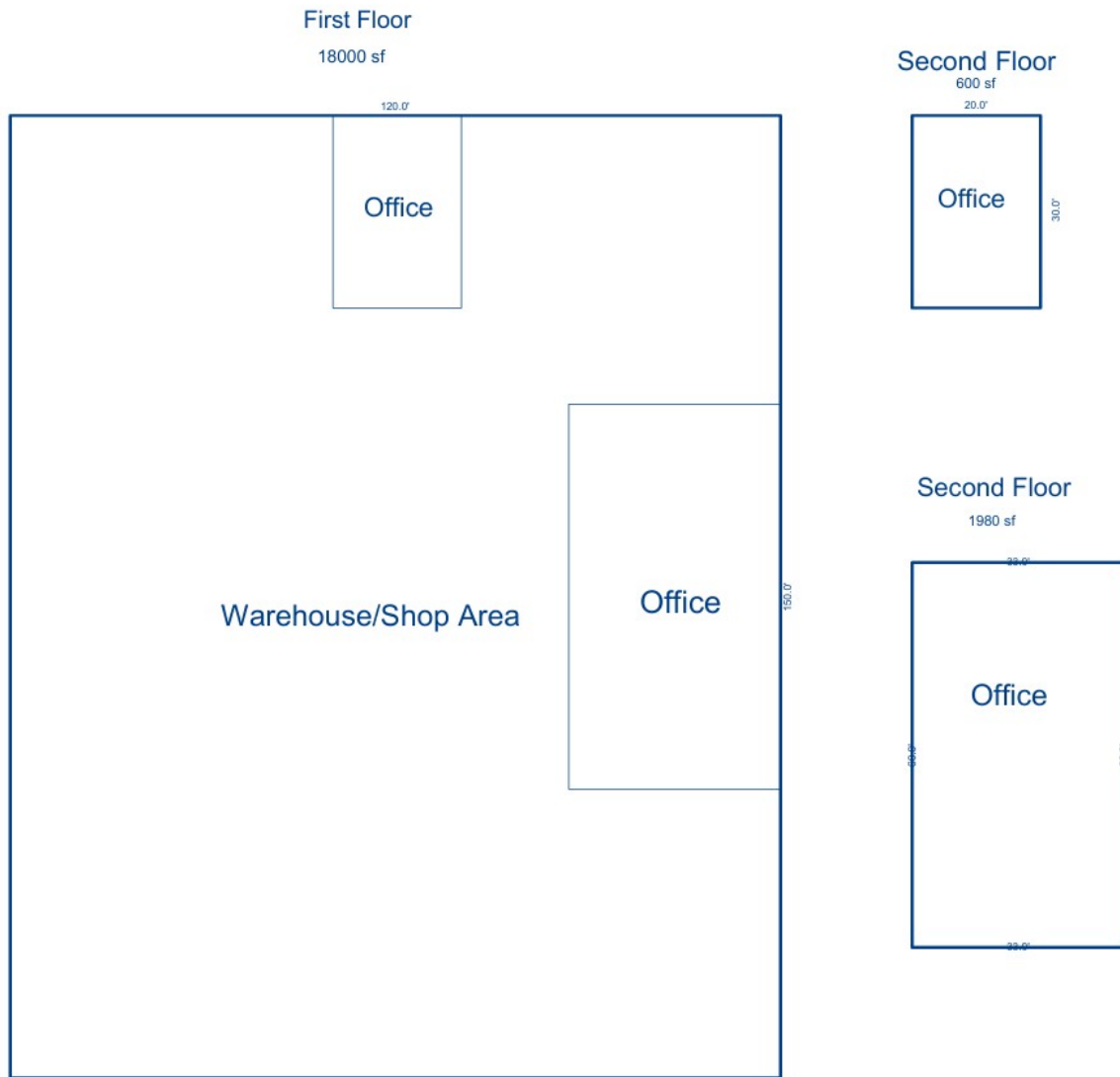
The building has been demised into 5,160 square feet (25.0%) of office space and 15,420 square feet (75.0%) of warehouse space. Details as they pertain to the respective build-out are as follows:

### **Office**

The office build-out is located central east and central north within the building. The finish includes carpet, tile, LVP flooring, gypsum board walls and acoustical tile/gypsum board ceilings. Lighting is provided by recessed and hanging LED fixtures. The climate is controlled by a central gas fired heating and air conditioning system. The general clear height is 9 feet on both the main and upper levels of the office areas. This finish of both levels is similar.

The finish is of average quality and remains in average condition.

# FLOOR PLAN



| AREA CALCULATIONS SUMMARY |              |        |          |             |            | AREA CALCULATIONS BREAKDOWN |         |          |         |                  |
|---------------------------|--------------|--------|----------|-------------|------------|-----------------------------|---------|----------|---------|------------------|
| Code                      | Description  | Factor | Net Size | Perimeter   | Net Totals | Name                        | Base x  | Height x | Width = | Area             |
| GBA1                      | First Floor  | 1.0    | 18000.0  | 540.0       | 18000.0    | First Floor                 | 150.0 x | 120.0 x  |         | 18000.0          |
| GBA2                      | Second Floor | 1.0    | 600.0    | 100.0       |            | Second Floor                |         | 30.0 x   | 20.0 =  | 600.0            |
|                           | Second Floor | 1.0    | 1980.0   | 186.0       | 2580.0     | Second Floor                |         | 60.0 x   | 33.0 =  | 1980.0           |
| Net BUILDING              |              |        | cnt      | 3 (rounded) | 20,580     | 3 total items               |         |          |         | (rounded) 20,580 |

### Warehouse

The warehouse finish is comprised of sealed concrete flooring with vinyl backed insulated exposed steel beam ceiling. The general clear height is 21-25 feet. Lighting is provided by hanging LED fixtures. Climate control is provided by overhead radiant heaters with no cooling in the warehouse area. There are four usable overhead doors, none of which provide for dock high loading. Two of these doors are located at the north elevation and two at the south elevation. Within the warehouse area there is a large walk-in refrigerated cooler room area. This area is about 3,300 square feet and is considered personal property and is not included in the valuation.

The finish is considered to be of average quality and remains in average condition.

### Condition, Remaining Economic Life, and Functional Utility

According to the Utah County Assessor's office, the building was constructed new in 1999, with periodic renovation/maintenance, and has an actual age of 26 years. A physical inspection of the subject indicates that the building is in average to above average condition for its age with no signs of deferred maintenance noted. Based on this analysis, an effective age of 10 years has been concluded.

The *Marshall Valuation Service*, published by Marshall and Swift, classifies the subject as an average to above average quality Class "S" building and estimates the building life for the subject's construction type to be around 45 years. Based on a 10 year effective age, the remaining economic life for the subject building is 35 years.

The building is well situated within the site and the project has a typical building-to-land ratio.

### American Disabilities Act

The subject is improved with handicapped parking and wheelchair ramps to provide direct and easy access for the handicapped. The interior main level restrooms have also been designed to conform to A.D.A. standards. The subject appears to conform to the Americans With Disabilities Act of 1990, Overview of Title III.

**ASSESSMENT AND TAXES**

The subject is identified by Utah County as tax parcel 35:407:0003. A three year tax history is summarized in the following table.

| <b>Year</b> | <b>Land Value</b> | <b>Improvement Value</b> | <b>Total Value</b> | <b>Real Estate Taxes</b> | <b>Percentage Increase</b> |
|-------------|-------------------|--------------------------|--------------------|--------------------------|----------------------------|
| <b>2024</b> | \$966,800         | \$1,040,500              | \$2,007,300        | \$20,392.16              | 3.4%                       |
| <b>2023</b> | \$960,300         | \$953,200                | \$1,913,500        | \$19,718.62              | 5.1%                       |
| <b>2022</b> | \$953,900         | \$881,900                | \$1,835,800        | \$18,761.88              | n/a                        |

Based on the concluded value of this report, Utah County has under assessed the subject. However, this is typical and a substantial increase is not anticipated. There are no back taxes owing.

## **HIGHEST AND BEST USE**

Real estate is typically valued in terms of its highest and best use. Highest and best use is defined in *The Appraisal of Real Estate* as:

"The reasonably probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and that results in the highest value."<sup>8</sup>

In estimation of the highest and best use, the appraiser must consider these four basic stages of analysis for proposed uses:

1. Legally permissible uses. Are there zoning or deed restrictions that would prohibit proposed uses?
2. Physically possible uses. From the permissible uses, which are physically possible when considering all aspects of the site size, shape, and topography or any other physical aspects?
3. Financially feasible uses. Which of the above legally permissible and possible uses will produce a net return to the owner of the site?
4. Maximally productive or highest and best use. After analyzing the above considerations, which of the proposed uses will produce or generate the highest rate of net return over a projected period of time?

In determining the highest and best use of the subject property, the site is considered under two classifications. The first type is the highest and best use as though vacant. The second is the highest and best use as improved. Each type requires a separate discussion and analysis. First we will discuss the highest and best use as vacant and then we will discuss the highest and best use taking into account the existing improvements.

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<sup>8</sup> Appraisal Institute, *The Appraisal of Real Estate*, 11th ed. (Chicago: Appraisal Institute, 1996), 297.



**Land as Vacant**

This analysis assumes that the subject parcel of land is vacant or that it can be made vacant through the demolition of the improvements.

Given the subject's zoning, location and surrounding influence, the highest and best use as vacant is for the construction of an industrial and/or lower intensity office/warehouse building.

The subject is 1.58 acres in size, has level topography, adequate access and is serviced with all necessary utilities. Given the large size of the site, it could accommodate one large user or a multi-unit project. Any building should be of above average quality and designed for single and/or multi tenant use.

There is currently strong demand for these types of uses in the current marketplace. Any development should take place as demand warrants.

**Highest and Best Use as Improved**

The highest and best use of the land as improved considers the existing improvements and whether or not they provide a maximally productive use of the land.

The existing industrial office building is consistent with the demand of the current market. The subject is well laid out and fully functional. The building continues to contribute to land value.

**VALUATION PROCESS**

The appraisal process for valuation of real estate involves a systematic analysis of facts based on supply and demand and other various economic principles. To organize these pertinent factors, appraisal theory has developed three basic approaches to the appraisal process. They are applied on the basis of the highest and best use of the property.

The three basic approaches are known as the Cost Approach, the Sales Comparison Approach, and the Income Capitalization Approach.

In this case, only the Sales Comparison Approach and Income Capitalization Approach will be expanded in determining a value estimate for the building improvements.

## **SALES COMPARISON APPROACH**

The Sales Comparison Approach is a method of estimating market value by comparing similar properties that have sold, or that are currently listed for sale, to the subject. Of primary consideration is the fact that the comparables should have the same highest and best use as the property being appraised while the analysis focuses on the differences between the subject property and the sale comparables. Typical criteria considered are property rights conveyed, terms of sale, conditions of sale, time of sale, economic characteristics, location, size, zoning, and other physical characteristics.

The Sales Comparison Approach is primarily based on the appraisal principle of substitution. Substitution is defined in *The Dictionary of Real Estate Appraisal* as follows: "The appraisal principle that states when several similar or commensurate commodities, goods, or services are available, the one with the lowest price will attract the greatest demand and widest distribution."<sup>9</sup> Other appraisal principles which apply to this approach include supply and demand, balance, and externalities.

In applying the Sales Comparison Approach, appraisers follow certain procedures or steps. According to *The Appraisal of Real Estate*, the procedure is as follows:

### **Sale Comparison Approach Procedure**

- "1) Research the market to obtain information on sales transactions, listing, and offers to purchase or sell properties that are similar to the subject property in terms of characteristics such as property type, date of sale, size, location, and zoning. (Of particular importance is that they have the same highest and best use as the subject).
- 2) Verify the information by confirming that the data obtained is factually accurate and that the transactions reflect arm's length market considerations.
- 3) Select relevant units of comparison (e.g., dollars per acre, per square foot, or per income multiplier) and develop a comparative analysis for each unit.

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<sup>9</sup> Appraisal Institute, *The Dictionary of Real Estate*, 3rd ed., (Chicago: Appraisal Institute, 1993), 356.

- 4) Compare comparable sale properties with the subject property using the elements of comparison and adjust the sale price of each comparable appropriately to the subject property or eliminate the sale property as a comparable.
- 5) Reconcile the various value indications produced from the analysis of comparables into a single value indication or a range of values."<sup>10</sup>

An extensive search was made in the Utah/Salt Lake County marketplace for similar comparable sales. All of the comparables were arm's length transactions, similar to the subject in highest and best use, and similar in conditions of sale, date of sale, economic factors, and physical characteristics. The search disclosed five comparables which are detailed on the following pages.

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<sup>10</sup> Appraisal Institute, *The Appraisal of Real Estate*, 11th ed., (Chicago: Appraisal Institute, 1996), 401.

**COMPARABLE SALE ONE****PROPERTY IDENTIFICATION**

|                       |                       |
|-----------------------|-----------------------|
| Address:              | 764 East 1950 North   |
| City/State:           | Spanish Fork, Utah    |
| Proximity to Subject: | 5.0 miles south       |
| Tax ID Number:        | 66:404:0004 and :0007 |

**SALE DATA**

|                             |                           |
|-----------------------------|---------------------------|
| Grantor or Seller:          | Chrisoney Properties, LLC |
| Grantee or Buyer:           | Steven D. Atkinson        |
| Date of Sale:               | May 2024                  |
| Sales Price:                | \$3,450,000               |
| Other:                      | None                      |
| Terms/Financing:            | Cash to seller            |
| Cash Equivalent Sale Price: | \$3,450,000               |
| Verification:               | Bailey Butters, agent     |
| Date of Inspection:         | January 23, 2024          |
| Estimated Marketing Time:   | 4 Months                  |
| Sale History:               | None                      |

**IMPROVEMENT DATA**

|                             |                                    |
|-----------------------------|------------------------------------|
| Building Description:       | Multi-tenant                       |
| Gross Building Area:        | 22,950 square feet                 |
| Number of Stories:          | Two                                |
| Construction:               | Class "S"                          |
| Quality:                    | Above Average                      |
| Year Built:                 | 2001 & 2015                        |
| Age at Sale Time:           | 16 years                           |
| Effective Age at Sale Time: | 9 years                            |
| Condition at Sale Time:     | Average                            |
| Office/Retail Area:         | 3,570 square feet, average quality |
| Percent Office:             | 15.6 percent                       |
| Clear Ceiling Height:       | 19 feet                            |
| Sprinklered:                | Yes                                |
| Number of Overhead Doors:   | 2                                  |
| Size of Overhead Doors:     | Various                            |
| Dock High Floor/Doors:      | No                                 |
| Retail Heating/Cooling:     | Gas fired heat/air conditioning    |
| Shop Heating/Cooling:       | Overhead radiant heaters           |
| Building-to-Land Ratio:     | 43.2 percent                       |

**COMPARABLE SALE ONE - CONTINUED****GENERAL PROPERTY DATA**

|                           |                 |
|---------------------------|-----------------|
| Zoning:                   | I-1; Industrial |
| Conditions of Sale:       | Arm's length    |
| Property Rights Conveyed: | Leased Fee      |
| Present Use:              | Warehouse       |
| Highest and Best Use:     | Industrial      |

**SITE DATA**

|                         |                                   |
|-------------------------|-----------------------------------|
| Size:                   | 1.22 acres, or 53,143 square feet |
| Configuration:          | Rectangular                       |
| Topography:             | Nearly level                      |
| Utilities:              | All available to site             |
| Parking:                | Adequate                          |
| Easements/Restrictions: | None                              |

**ECONOMIC DATA**

|                         |                    |
|-------------------------|--------------------|
| Tenant:                 | Western Botanicals |
| Tenant Strength:        | Local/Regional     |
| Lease Date/Terms:       | 2.5 years          |
| Lease Type:             | NNN                |
| Projected Gross Income: | \$235,467          |
| Vacancy:                | \$5,887            |
| Effective Gross Income: | \$229,580          |
| Expenses:               | \$11,479           |
| Net Operating Income:   | \$218,101          |
| Net Income Per Sq.Ft.:  | \$9.50             |

**APPRAISAL INDICATORS**

|                              |              |
|------------------------------|--------------|
| Overall Price/SF:            | \$150.33     |
| Overall Capitalization Rate: | 6.32 percent |

**ANALYSIS:** This comparable represents a similar quality/similar aged building located south of the subject in Spanish Fork. Office percentage is slightly inferior. Building-to-land ratio is inferior to the subject. Site improvements are similar. Clear height is inferior. Other physical characteristics are considered to be similar to those of the subject.

**COMPARABLE SALE TWO****PROPERTY IDENTIFICATION**

|                       |                     |
|-----------------------|---------------------|
| Address:              | 374 East 1750 North |
| City/State:           | Vineyard, Utah      |
| Proximity to Subject: | 5.0 miles north     |
| Tax ID Number:        | 65:320:0009         |

**SALE DATA**

|                             |                                      |
|-----------------------------|--------------------------------------|
| Grantor or Seller:          | 501 Properties, LLC                  |
| Grantee or Buyer:           | Lindon Industrial Business Park, LLC |
| Date of Sale:               | August 2022                          |
| Sales Price:                | \$8,600,000                          |
| Other:                      | None                                 |
| Terms/Financing:            | Cash to seller                       |
| Cash Equivalent Sale Price: | \$8,600,000                          |
| Verification:               | Brandon Fugal, agent                 |
| Date of Inspection:         | August 15, 2022                      |
| Estimated Marketing Time:   | 6 Months                             |
| Sale History:               | None                                 |

**IMPROVEMENT DATA**

|                             |                                 |
|-----------------------------|---------------------------------|
| Building Description:       | Multi-tenant                    |
| Gross Building Area:        | 42,925 square feet              |
| Number of Stories:          | One                             |
| Construction:               | Class "C", block                |
| Quality:                    | Average                         |
| Year Built:                 | 2012                            |
| Age at Sale Time:           | 10 years                        |
| Effective Age at Sale Time: | 5 years                         |
| Condition at Sale Time:     | Average                         |
| Office/Retail Area:         | 13,736 square feet, average     |
| Percent Office/Retail:      | 32.0 percent, average           |
| Clear Ceiling Height:       | 24 feet                         |
| Sprinklered:                | No                              |
| Number of Overhead Doors:   | 8                               |
| Size of Overhead Doors:     | Various                         |
| Dock High Floor/Doors:      | No                              |
| Retail Heating/Cooling:     | Gas fired heat/air conditioning |
| Shop Heating/Cooling:       | Overhead space heaters          |
| Building-to-Land Ratio:     | 45.0 percent                    |



**COMPARABLE SALE TWO - CONTINUED****GENERAL PROPERTY DATA**

|                           |                  |
|---------------------------|------------------|
| Zoning:                   | I-1; Industrial  |
| Conditions of Sale:       | Arm's length     |
| Property Rights Conveyed: | Leased Fee       |
| Present Use:              | Office/Warehouse |
| Highest and Best Use:     | Industrial       |

**SITE DATA**

|                         |                                   |
|-------------------------|-----------------------------------|
| Size:                   | 2.19 acres, or 95,396 square feet |
| Configuration:          | Rectangular                       |
| Topography:             | Nearly level                      |
| Utilities:              | All available to site             |
| Parking:                | Adequate                          |
| Easements/Restrictions: | None                              |

**ECONOMIC DATA**

|                         |                |
|-------------------------|----------------|
| Tenant Strength:        | Local/Regional |
| Lease Date/Terms:       | 2 - 5 years    |
| Lease Type:             | NNN            |
| Projected Gross Income: | \$508,802      |
| Vacancy:                | \$15,264       |
| Effective Gross Income: | \$493,538      |
| Expenses:               | \$34,548       |
| Net Operating Income:   | \$458,990      |
| Net Income Per Sq.Ft.   | \$10.69        |

**APPRAISAL INDICATORS**

|                              |              |
|------------------------------|--------------|
| Overall Price/SF:            | \$200.35     |
| Overall Capitalization Rate: | 5.34 percent |

**ANALYSIS:** This comparable represents a superior quality/newer aged building located north of the subject in Vineyard. An upward adjustment is made for the comparable's larger size. Office percentage is slightly superior. Building-to-land ratio is inferior to the subject. Site improvements are similar. Clear height is similar. Other physical characteristics are considered to be similar to those of the subject.

**COMPARABLE SALE THREE****PROPERTY IDENTIFICATION**

|                       |                    |
|-----------------------|--------------------|
| Address:              | 200 South 810 West |
| City/State:           | Lindon, Utah       |
| Proximity to Subject: | 5.0 miles north    |
| Tax ID Number:        | 14:065:0159        |

**SALE DATA**

|                             |                                   |
|-----------------------------|-----------------------------------|
| Grantor or Seller:          | Arm Properties LLC                |
| Grantee or Buyer:           | Siva Diamond Tools Inc.           |
| Date of Sale:               | May 2023                          |
| Sales Price:                | \$1,491,690                       |
| Other:                      | None                              |
| Terms/Financing:            | Cash to seller                    |
| Cash Equivalent Sale Price: | \$1,491,690                       |
| Verification:               | Tyler Shenk, agent (801-833-2880) |
| Date of Inspection:         | March 27, 2025                    |
| Estimated Marketing Time:   | 1 Month                           |
| Sale History:               | None                              |

**IMPROVEMENT DATA**

|                             |                                 |
|-----------------------------|---------------------------------|
| Building Description:       | Office/Shop                     |
| Gross Building Area:        | 8,440 square feet               |
| Number of Stories:          | One                             |
| Construction:               | Class "S                        |
| Quality:                    | Average                         |
| Year Built:                 | 1980                            |
| Age at Sale Time:           | 43 years                        |
| Effective Age at Sale Time: | 15 years                        |
| Condition at Sale Time:     | Average                         |
| Office/Retail Area:         | 900 square feet, average        |
| Percent Office/Retail:      | 10.7 percent                    |
| Clear Ceiling Height:       | 10-12 feet                      |
| Sprinklered:                | No                              |
| Number of Overhead Doors:   | 2                               |
| Size of Overhead Doors:     | Various                         |
| Dock High Floor/Doors:      | No                              |
| Retail Heating/Cooling:     | Gas fired heat/air conditioning |
| Shop Heating/Cooling:       | Gas fired heat                  |
| Building-to-Land Ratio:     | 49.7 percent                    |

**COMPARABLE SALE THREE - CONTINUED****GENERAL PROPERTY DATA**

|                           |                      |
|---------------------------|----------------------|
| Zoning:                   | LI; Light Industrial |
| Conditions of Sale:       | Arm's length         |
| Property Rights Conveyed: | Fee simple           |
| Present Use:              | Retail/Shop          |
| Highest and Best Use:     | Commercial           |

**SITE DATA**

|                         |                                                 |
|-------------------------|-------------------------------------------------|
| Size:                   | 0.39 acres, or 16,988 square feet, not improved |
| Configuration:          | Rectangular                                     |
| Topography:             | Nearly level                                    |
| Utilities:              | All available to site                           |
| Parking:                | Adequate                                        |
| Easements/Restrictions: | None                                            |

**ECONOMIC DATA**

|                         |                |
|-------------------------|----------------|
| Projected Gross Income: | Owner occupied |
| Vacancy:                | n/a            |
| Effective Gross Income: | n/a            |
| Expenses:               | n/a            |
| Net Operating Income:   | n/a            |
| Net Income Per Sq.Ft.   | n/a            |

**APPRAISAL INDICATORS**

|                               |          |
|-------------------------------|----------|
| Overall Price/SF:             | \$176.74 |
| Eff. Gross Income Multiplier: | n/a      |
| Overall Capitalization Rate:  | n/a      |

**ANALYSIS:** This comparable represents a similar quality/older aged building located north of the subject in Lindon. This location is similar when compared to that of the subject. A downward adjustment is warranted for the comparable's smaller size. Office percentage and clear height are inferior. Site improvements are similar. Other physical characteristics are considered similar.

**COMPARABLE SALE FOUR****PROPERTY IDENTIFICATION**

|                       |                               |
|-----------------------|-------------------------------|
| Address:              | 91 East 780 South             |
| City/State:           | Provo, Utah                   |
| Proximity to Subject: | 2.0 miles northeast           |
| Tax Id. Number:       | 52:085:0010 (east portion of) |

**SALE DATA**

|                             |                         |
|-----------------------------|-------------------------|
| Grantor or Seller:          | Craig Anderson          |
| Grantee or Buyer:           | Chris Jensen            |
| Date of Sale:               | Under Contract          |
| Sales Price:                | \$2,060,000             |
| Other:                      | \$120,000 in renovation |
| Terms/Financing:            | Cash to seller          |
| Cash Equivalent Sale Price: | \$2,180,000             |
| Verification:               | Purchase Contract       |
| Date of Inspection:         | August 07, 2025         |
| Estimated marketing time:   | Six month               |

**IMPROVEMENT DATA**

|                             |                                      |
|-----------------------------|--------------------------------------|
| Building Description:       | Office/warehouse                     |
| Gross Building Area:        | 10,800 square feet                   |
| Number of Stories:          | One                                  |
| Construction:               | Class "S", Steel                     |
| Quality:                    | Average                              |
| Condition at Sale Time:     | Average                              |
| Year Built:                 | 1977                                 |
| Age at Sale Time:           | 48 years                             |
| Effective Age at Sale Time: | 10 years (after renovation)          |
| Office Area/Quality:        | 2,320 square feet, average quality   |
| Office Percentage:          | 21.5 percent                         |
| Warehouse Clear Height:     | 16 feet                              |
| Sprinklered:                | Yes                                  |
| Number of Overhead Doors:   | Four                                 |
| Size of Overhead Doors:     | Various                              |
| Dock High Floor/Doors:      | Four                                 |
| Office Heating/Cooling:     | Gas forced air with air conditioning |
| Warehouse Heating/Cooling:  | Space heaters                        |
| Building-to-Land Ratio:     | 59.0 percent                         |

**COMPARABLE SALE FOUR - CONTINUED****GENERAL PROPERTY DATA**

|                           |                          |
|---------------------------|--------------------------|
| Zoning:                   | CM - Heavy Commercial    |
| Conditions of Sale:       | Arm's length transaction |
| Property Rights Conveyed: | Fee Simple               |
| Present Use:              | Office/warehouse         |
| Highest and Best Use:     | Present use as improved  |
| Rail Service:             | No                       |

**SITE DATA**

|                         |                                   |
|-------------------------|-----------------------------------|
| Size:                   | 0.42 acres, or 18,295 square feet |
| Configuration:          | Rectangular, interior block       |
| Frontage:               | Bridger Road                      |
| Topography:             | Level                             |
| Utilities:              | All municipal utilities           |
| Parking:                | Adequate                          |
| Parking Ratio:          | n/a                               |
| Easements/Restrictions: | None noted                        |

**ECONOMIC DATA**

|                         |        |
|-------------------------|--------|
| Tenant:                 | Vacant |
| Tenant Strength:        | n/a    |
| Lease Type:             | n/a    |
| Term:                   | n/a    |
| Lease Rate/SF:          | n/a    |
| Projected Gross Income: | n/a    |
| Vacancy:                | n/a    |
| Effective Gross Income: | n/a    |
| Expenses:               | n/a    |
| Net Operating Income:   | n/a    |
| NOI/SF:                 | n/a    |

**APPRAISAL INDICATORS**

|                   |          |
|-------------------|----------|
| Overall Price/SF: | \$201.85 |
| Overall Rate:     | n/a      |

**ANALYSIS:** This comparable represents a similar quality/similar aged building located just northeast of the subject in Provo. Office percentage is similar. Building-to-land ratio is inferior to the subject. Site improvements are similar. Clear height is inferior. Size is smaller. Other physical characteristics are considered to be similar to those of the subject.

**COMPARABLE SALE FIVE****PROPERTY IDENTIFICATION**

|                       |                             |
|-----------------------|-----------------------------|
| Address:              | 8095 South Welby Park Drive |
| City/State:           | West Jordan, Utah           |
| Proximity to Subject: | 35.0 miles north            |
| Tax Id. Number:       | 21:31:177:013               |

**SALE DATA**

|                             |                                 |
|-----------------------------|---------------------------------|
| Grantor or Seller:          | Intermountain Life Sciences LLC |
| Grantee or Buyer:           | Hyclone Laboratories LLC        |
| Date of Sale:               | January 2025                    |
| Sales Price:                | \$8,000,000                     |
| Other:                      | None                            |
| Terms/Financing:            | Cash to seller                  |
| Cash Equivalent Sale Price: | \$8,000,000                     |
| Verification:               | Chris Liddell, broker           |
| Date of Inspection:         | August 07, 2025                 |
| Estimated marketing time:   | Six month                       |

**IMPROVEMENT DATA**

|                             |                                      |
|-----------------------------|--------------------------------------|
| Building Description:       | Office/warehouse                     |
| Gross Building Area:        | 41,090 square feet                   |
| Number of Stories:          | One                                  |
| Construction:               | Class "C", Block                     |
| Quality:                    | Average                              |
| Condition at Sale Time:     | Average                              |
| Year Built:                 | 2001, 2022 renovation                |
| Age at Sale Time:           | 25 years                             |
| Effective Age at Sale Time: | 10 years                             |
| Office Area/Quality:        | 8,218 square feet, average quality   |
| Office Percentage:          | 20.0 percent                         |
| Warehouse Clear Height:     | 30 feet                              |
| Sprinklered:                | Yes                                  |
| Number of Overhead Doors:   | Four                                 |
| Size of Overhead Doors:     | Various                              |
| Dock High Floor/Doors:      | Two                                  |
| Office Heating/Cooling:     | Gas forced air with air conditioning |
| Warehouse Heating/Cooling:  | Space heaters                        |
| Building-to-Land Ratio:     | 46.9 percent                         |

**COMPARABLE SALE FIVE - CONTINUED****GENERAL PROPERTY DATA**

|                           |                          |
|---------------------------|--------------------------|
| Zoning:                   | M-P - Manufacturing      |
| Conditions of Sale:       | Arm's length transaction |
| Property Rights Conveyed: | Fee Simple               |
| Present Use:              | Office/warehouse         |
| Highest and Best Use:     | Present use as improved  |
| Rail Service:             | No                       |

**SITE DATA**

|                         |                                   |
|-------------------------|-----------------------------------|
| Size:                   | 2.01 acres, or 87,556 square feet |
| Configuration:          | Rectangular, interior block       |
| Frontage:               | Welby Park Road                   |
| Topography:             | Level                             |
| Utilities:              | All municipal utilities           |
| Parking:                | Adequate                          |
| Parking Ratio:          | n/a                               |
| Easements/Restrictions: | None noted                        |

**ECONOMIC DATA**

|                         |                |
|-------------------------|----------------|
| Tenant:                 | Owner Occupied |
| Tenant Strength:        | n/a            |
| Lease Type:             | n/a            |
| Term:                   | n/a            |
| Lease Rate/SF:          | n/a            |
| Projected Gross Income: | n/a            |
| Vacancy:                | n/a            |
| Effective Gross Income: | n/a            |
| Expenses:               | n/a            |
| Net Operating Income:   | n/a            |
| NOI/SF:                 | n/a            |

**APPRAISAL INDICATORS**

|                   |          |
|-------------------|----------|
| Overall Price/SF: | \$194.69 |
| Overall Rate:     | n/a      |

**ANALYSIS:** This comparable represents a superior quality/similar aged building located north of the subject in West Jordan. This location is similar to the subject location. An upward adjustment is made for the comparable's larger size. Clear height is superior to the subject. Building-to-land ratio is inferior. Office percentage is similar. Other physical characteristics are considered to be similar to those of the subject.



## COMPARABLE PHOTOGRAPHS



**COMPARABLE ONE**  
**764 East 1950 North, Spanish Fork**



**COMPARABLE TWO**  
**374 East 1750 North, Vineyard**



**COMPARABLE THREE**  
**200 South 810 West, Lindon**

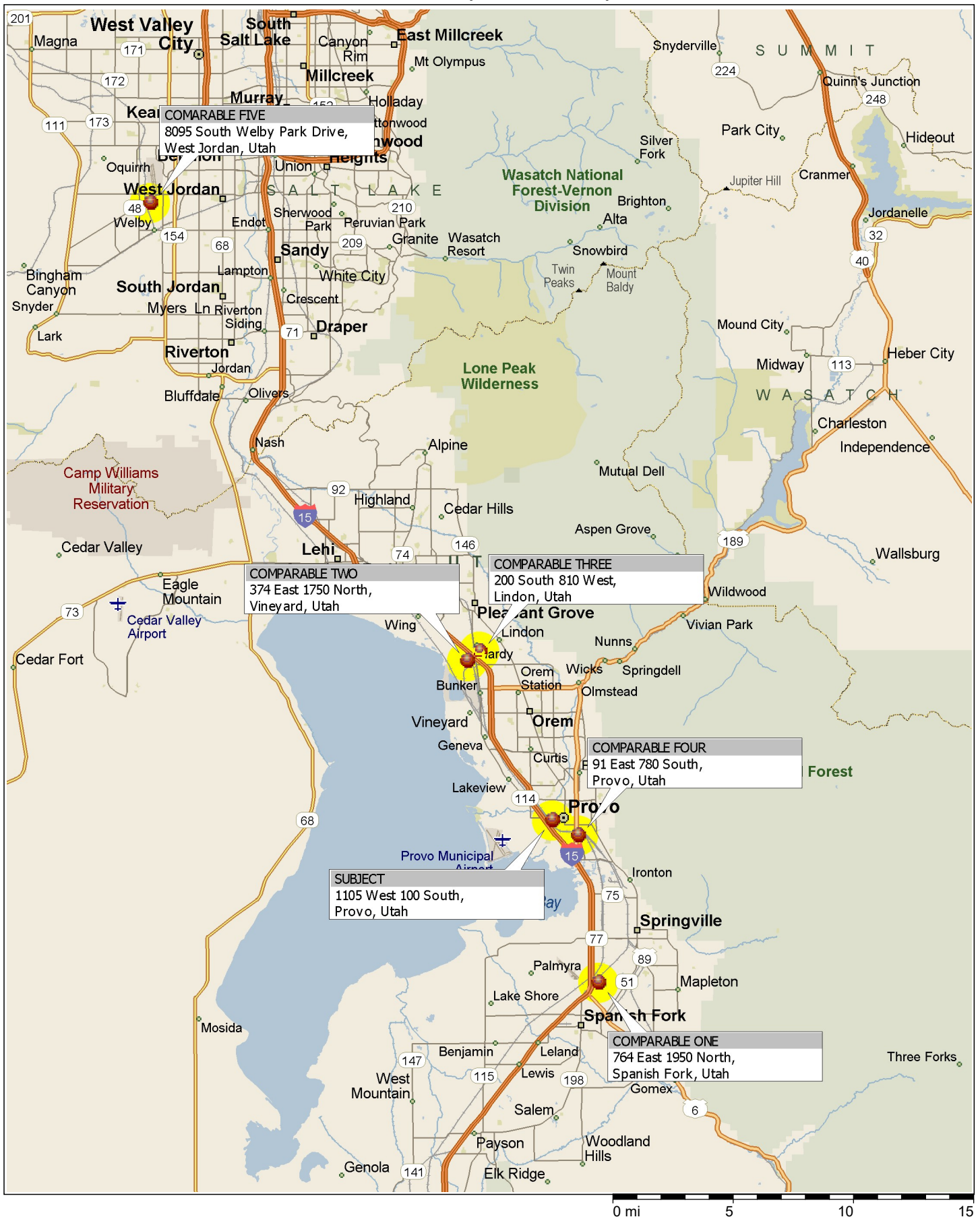


**COMPARABLE FOUR**  
**91 East 780 South, Provo**



**COMPARABLE FIVE**  
**8095 South Welby Park Drive, West Jordan**

# Sale Comparables Map



| IMPROVED SALES SUMMARY |           |                                 |               |              |               |            |
|------------------------|-----------|---------------------------------|---------------|--------------|---------------|------------|
| #                      | Sale Date | Location                        | Size (Sq.Ft.) | % Office     | Effect. Age   | Price/ SF  |
| 1                      | 05/24     | 764 E. 1950 North, Spanish Fork | 22,950        | 15.6%        | 9 yrs         | \$150.33   |
| 2                      | 08/22     | 374 E. 1750 North, Vineyard     | 42,925        | 32.0%        | 5 yrs         | \$200.35   |
| 3                      | 05/23     | 200 S. 810 West, Lindon         | 8,440         | 10.7%        | 15 yrs        | \$176.74   |
| 4                      | U/C       | 91 E. 780 South, Provo          | 10,800        | 21.5%        | 10 yrs        | \$201.85   |
| 5                      | 01/25     | 8095 S. Welby Pk Dr., W. Jordan | 41,090        | 20.0%        | 10 yrs        | \$194.69   |
| <b>Subject</b>         |           | <b>1105 W. 100 South, Provo</b> | <b>20,580</b> | <b>25.0%</b> | <b>10 yrs</b> | <b>n/a</b> |

#### Improved Sale Analysis and Unit of Comparison Selection

The subject will be valued based on the price per square foot method. Prior to adjustments, the comparables indicate a value range from \$150.33 to \$201.85 per square foot. Variance in prices can typically be attributed to differences in property rights, conditions of sale, date of sale, location, and physical differences. Adjustments will be made to the subject to account for these differences.

Two of the comparables represents leased fee transactions and three of the comparables represent fee simple transactions. All of the transactions are based on normal market conditions and cash to seller terms. No adjustment is made for property rights.

Values for industrial properties softened somewhat in the Spring of 2022, due to the increase in interest rates. Since 2022 the market has shown only modest to minimal increase. As such a modest 2 percent annual upward adjustment will be made to the comparables for conditions of sale.

As to location and physical differences, factors warranting adjustments as detailed in the "analysis" section of the respective data sheets will be reflected in an adjustment grid found on the following page.



| ADJUSTMENT GRID                   |                 |                 |                  |                   |                 |
|-----------------------------------|-----------------|-----------------|------------------|-------------------|-----------------|
|                                   | COMPARABLES     |                 |                  |                   |                 |
|                                   | 1               | 2               | 3                | 4                 | 5               |
| <b>Unadjusted Price/SF</b>        | \$150.33        | \$200.35        | \$176.74         | \$201.85          | \$194.69        |
| <b>Property Rights</b>            | 0%              | 0%              | 0%               | 0%                | 0%              |
| <b>Subtotal</b>                   | \$150.33        | \$200.35        | \$176.74         | \$201.85          | \$194.69        |
| <b>Terms of Sale</b>              | 0%              | 0%              | 0%               | 0%                | 0%              |
| <b>Subtotal</b>                   | \$150.33        | \$200.35        | \$176.74         | \$201.85          | \$194.69        |
| <b>Conditions of Sale</b>         | 0%              | 0%              | 0%               | 0%                | 0%              |
| <b>Subtotal</b>                   | \$150.33        | \$200.35        | \$176.74         | \$201.85          | \$194.69        |
| <b>Market Conditions (Date)</b>   | 2%              | 6%              | 4%               | 0%                | 0%              |
| <b>Subtotal</b>                   | \$153.34        | \$212.37        | \$183.81         | \$201.85          | \$194.69        |
| <b>Location<br/>Average</b>       | 0%<br>Average   | 0%<br>Average   | 0%<br>Average    | 0%<br>Average     | 0%<br>Average   |
| <b>Quality<br/>Steel</b>          | 0%<br>Steel     | -5%<br>Block    | 0%<br>Steel      | 0%<br>Steel       | -5%<br>Block    |
| <b>Age/Condition<br/>10 years</b> | 0%<br>9 yrs     | -3%<br>5yrs     | 3%<br>15 yrs     | 0%<br>10 yrs      | 0%<br>10 yrs    |
| <b>Size<br/>20,580 sf</b>         | 0%<br>22,950 sf | 5%<br>42,925 sf | -10%<br>8,440 sf | -10%<br>10,800 sf | 5%<br>41,090 sf |
| <b>Percent Office<br/>25.0%</b>   | 3%<br>15.6%     | -2%<br>32.0%    | 5%<br>10.7%      | 0%<br>21.5%       | 0%<br>20.0%     |
| <b>Building-to-Land<br/>29.9%</b> | 2%<br>43.2%     | 2%<br>45.0%     | 3%<br>49.7%      | 5%<br>59.0%       | 3%<br>46.9%     |
| <b>Site Improvements<br/>Full</b> | 0%<br>Full      | 0%<br>Full      | 0%<br>Full       | 0%<br>Full        | 0%<br>Full      |
| <b>Clear Height<br/>21-25 ft</b>  | 3%<br>19 ft     | 0%<br>24 ft     | 5%<br>12ft       | 3%<br>16 ft       | -5%<br>30 ft    |
| <b>ADJ. PRICE/ SQ.FT.</b>         | \$165.60        | \$206.00        | \$194.84         | \$197.81          | \$190.80        |
| <b>NET ADJUSTMENT</b>             | 8%              | -3%             | 6%               | -2%               | -2%             |
| <b>GROSS ADJ.</b>                 | 8%              | 17%             | 26%              | 18%               | 18%             |
| <b><u>Mean</u></b>                | \$191.01        |                 |                  |                   |                 |

Value Conclusion - Sales Comparison Approach

The comparables range in adjusted sale prices from \$165.60 to \$206.00 per square foot, with a five comparable average of \$191.01 per square foot.

As can be seen, the comparables form a tight range with all of the comparables being similar investments for a prospective buyer. The subject has an average to above average warehouse clear height when compared to most of the comparables. Overall, the subject is most similar to comparable one. Still, weight must be given to the overall average. When giving weight to comparable one and weight to the overall average, a value just below the average at \$185.00 per square foot is concluded. At 20,580 square feet, the subject's value is calculated as follows:

|                           |              |
|---------------------------|--------------|
| \$185.00/SF @ 20,580 SF = | \$ 3,807,300 |
| ROUNDED TO                | \$ 3,810,000 |

After careful consideration of the information and analysis contained within this report, I am of the opinion that the "as is" market value of the subject property, with fee simple property rights, as of August 18, 2025, is:

**\$3,810,000**

**"THREE MILLION EIGHT HUNDRED TEN THOUSAND DOLLARS"**

**INCOME CAPITALIZATION APPROACH**

The Income Approach considers the anticipated benefits in terms of money which are to be derived from the ownership of the property. This anticipated benefit or future income stream is discounted to a present worth through capitalizing the net income into a value.

The first step is to analyze and determine the potential gross income by collecting and reviewing comparable rents in the immediate area.

The second step is to analyze the expenses associated with one year's operating of the subject property. These expenses are calculated on the basis of a typical year with typical expenses. The expense figures used in this analysis were based market supported data.

The third step in the Income Approach is to develop an operating statement to determine the net operating income; then capitalize the net income into a value with an appropriate capitalization rate. This process is explained further in the report.

The net operating income estimate begins by determining the potential gross income. This income is the total potential income attributable to the property under stabilized occupancy. Income for investment properties consists primarily of rent. There are two primary types of rent, contract rent and market rent. Contract rent is the actual rental income from the property under the terms of a lease. Market rent is the rental income that a property is able to command in the open market as of the date of the appraisal.

The subject property is being appraised in fee simple estate. As such, market rent will be determined.

**POTENTIAL GROSS INCOME**

To determine potential gross income, the subject's potential to generate rental income must be determined. To determine an applicable rental rate, a current and thorough search of comparable projects within the immediate subject neighborhood has been conducted. Based on this survey, I have personally inspected and verified the current lease rates on five industrial buildings which are considered to be most similar to the subject. The comparable leases are found on the following pages. After the presentation of comparable leases, the data will be analyzed, adjustments made, and a market rent concluded.

**COMPARABLE LEASE ONE****PROPERTY IDENTIFICATION**

|                            |                      |
|----------------------------|----------------------|
| ADDRESS:                   | 9912 North 4700 West |
| CITY/STATE:                | Cedar Hills, Utah    |
| ASSESSOR'S TAX PARCEL NO.: | 65:626:0007          |
| PROXIMITY TO SUBJECT:      | 10 miles northeast   |

**BUILDING DATA**

|                       |                    |
|-----------------------|--------------------|
| YEAR BUILT:           | 2024               |
| EFFECTIVE AGE:        | New                |
| BUILDING DESCRIPTION: | Class "C", block   |
| QUALITY:              | Above Average      |
| BUILDING SIZE:        | 25,000 square feet |

**SITE DATA**

|                      |                                   |
|----------------------|-----------------------------------|
| LAND SIZE:           | 1.41 acres, or 61,420 square feet |
| BUILDING/LAND RATIO: | 40.7 percent                      |
| FRONTAGE:            | 4700 West                         |
| VISIBILITY:          | Average                           |
| PARKING:             | Adequate                          |

**LEASE DATA**

|                            |                                                   |
|----------------------------|---------------------------------------------------|
| TENANT NAME:               | Confidential                                      |
| SIZE (SQ.FT.):             | 10,000 square feet                                |
| COMMENCEMENT:              | August 2024                                       |
| LEASE TYPE:                | Triple Net                                        |
| TERM/RENEWAL OPTIONS:      | 5.0 years                                         |
| ESCALATIONS:               | None                                              |
| CONTRACT RENTAL:           | \$14.40/sf                                        |
| OFFICE SQUARE FOOTAGE:     | 500 square feet (5.0%), average quality           |
| BUILDING HEIGHT:           | 24 feet                                           |
| CONCESSIONS:               | None                                              |
| EXPENSES PAID BY LANDLORD: | Management, reserves                              |
| EXPENSES PAID BY TENANT:   | Property taxes, insurance, utilities, maintenance |
| CONFIRMED BY:              | Brad Dyreng, MAI                                  |
| CONFIRMED WITH:            | Ryan Bybee, agent (801-616-2300)                  |

**ANALYSIS:** This comparable represents space within a superior quality/newer aged building located north of the subject in Cedar Hills. This location is considered to be similar when compared to that of the subject. A downward adjustment is warranted for the comparable's smaller size and upward adjustment for inferior percentage of office finish. Other physical characteristics are considered to be similar.

**COMPARABLE LEASE TWO****PROPERTY IDENTIFICATION**

|                            |                                   |
|----------------------------|-----------------------------------|
| ADDRESS:                   | 652 South Lakeview Parkway Bld. C |
| CITY/STATE:                | Provo, Utah                       |
| ASSESSOR'S TAX PARCEL NO.: | 65:749:0007                       |
| PROXIMITY TO SUBJECT:      | 2.0 miles west                    |

**BUILDING DATA**

|                       |                    |
|-----------------------|--------------------|
| YEAR BUILT:           | 2024               |
| EFFECTIVE AGE:        | New                |
| BUILDING DESCRIPTION: | Class "C" (block)  |
| QUALITY:              | Above Average      |
| BUILDING SIZE:        | 38,096 square feet |

**SITE DATA**

|                      |                                     |
|----------------------|-------------------------------------|
| LAND SIZE:           | 2.681 acres, or 116,784 square feet |
| BUILDING/LAND RATIO: | 32.6 percent                        |
| FRONTAGE/ACCESS:     | 5600 West, a local collector        |
| VISIBILITY:          | Average                             |
| PARKING:             | Adequate                            |

**LEASE DATA**

|                            |                                                      |
|----------------------------|------------------------------------------------------|
| TENANT NAME:               | Ionic Minerals Management Inc.                       |
| SIZE (SQ.FT.):             | 38,096 square feet                                   |
| COMMENCEMENT:              | September 2024                                       |
| LEASE TYPE:                | Triple Net                                           |
| TERM/RENEWAL OPTIONS:      | 5 years                                              |
| ESCALATIONS:               | None                                                 |
| CONTRACT RENTAL:           | \$13.88/sf                                           |
| OFFICE SQUARE FOOTAGE:     | 5,333 sf (14.0%), average quality                    |
| BUILDING HEIGHT:           | 21 feet                                              |
| CONCESSIONS:               | None                                                 |
| EXPENSES PAID BY LANDLORD: | Management, reserves                                 |
| EXPENSES PAID BY TENANT:   | Property taxes, insurance, utilities and maintenance |
| DATE OF SURVEY:            | September 18, 2025                                   |
| CONFIRMED BY:              | Brad Dyreng, MAI                                     |
| CONFIRMED WITH:            | Joel Pilling, Lessor                                 |

**ANALYSIS:** This comparable represents a superior quality/newer aged building located west of the subject in Provo. This location is similar when compared to that of the subject. An upward adjustment is warranted for the comparable's larger size. Office percentage is slightly inferior. Clear height is similar. Building-to-land ratio is similar. Other physical characteristics are considered to be similar.



**COMPARABLE LEASE THREE****PROPERTY IDENTIFICATION**

ADDRESS: 1962 North Chappel Drive  
CITY/STATE: Spanish Fork, Utah  
ASSESSOR'S TAX PARCEL NO.: 52:764:0001  
PROXIMITY TO SUBJECT: 5.0 miles south

**BUILDING DATA**

YEAR BUILT: 2000  
EFFECTIVE AGE: 10 years  
BUILDING DESCRIPTION: Class "S", steel  
QUALITY: Average  
BUILDING SIZE: 19,400 square feet

**SITE DATA**

LAND SIZE: 1.111 acres, or 48,395 square feet  
BUILDING/LAND RATIO: 40.0 percent  
FRONTAGE: Chappel Drive  
VISIBILITY: Average  
PARKING: Adequate

**LEASE DATA**

TENANT NAME: Artesian Milwork  
SIZE (SQ.FT.): 19,400 square feet  
COMMENCEMENT: February 2023  
LEASE TYPE: Triple Net  
TERM/RENEWAL OPTIONS: 5.0 years  
ESCALATIONS: None  
CONTRACT RENTAL: \$11.45/sf  
OFFICE SQUARE FOOTAGE: 4,850 square feet (25.0%), average quality  
BUILDING HEIGHT: 16 feet  
CONCESSIONS: None  
EXPENSES PAID BY LANDLORD: Management, reserves  
EXPENSES PAID BY TENANT: Property taxes, insurance, utilities, maintenance  
CONFIRMED BY: Brad Dyreng, MAI  
CONFIRMED WITH: Lease Agreement

**ANALYSIS:** This comparable represents a similar quality/similar aged building located south of the subject in Spanish Fork. This location is considered similar to the subject. Office finish is similar. Building-to-land ratio is inferior. Clear height is inferior. Other physical characteristics are considered to be similar to those of the subject.

**COMPARABLE LEASE FOUR****PROPERTY IDENTIFICATION**

|                            |                     |
|----------------------------|---------------------|
| ADDRESS:                   | 909 North 2000 West |
| CITY/STATE:                | Springville, Utah   |
| ASSESSOR'S TAX PARCEL NO.: | 23:023:0099         |
| PROXIMITY TO SUBJECT:      | 5.0 miles south     |

**BUILDING DATA**

|                       |                   |
|-----------------------|-------------------|
| YEAR BUILT:           | 1978              |
| EFFECTIVE AGE:        | 15 years          |
| BUILDING DESCRIPTION: | Class "S"         |
| QUALITY:              | Average           |
| BUILDING SIZE:        | 7,485 square feet |

**SITE DATA**

|                      |                                   |
|----------------------|-----------------------------------|
| LAND SIZE:           | 0.84 acres, or 36,590 square feet |
| BUILDING/LAND RATIO: | 20.5 percent                      |
| FRONTAGE:            | 2000 West                         |
| VISIBILITY:          | Average                           |
| PARKING:             | Adequate                          |

**LEASE DATA**

|                            |                                                   |
|----------------------------|---------------------------------------------------|
| TENANT NAME:               | Boardco.com                                       |
| SIZE (SQ.FT.):             | 7,485 square feet                                 |
| COMMENCEMENT:              | March 2025                                        |
| LEASE TYPE:                | Triple Net                                        |
| TERM/RENEWAL OPTIONS:      | 5.0 years                                         |
| ESCALATIONS:               | 2.0% annually                                     |
| CONTRACT RENTAL:           | \$14.59/sf                                        |
| OFFICE SQUARE FOOTAGE:     | 1,347 square feet (18.0%), average quality        |
| BUILDING HEIGHT:           | 16 feet                                           |
| CONCESSIONS:               | None                                              |
| EXPENSES PAID BY LANDLORD: | Management, reserves                              |
| EXPENSES PAID BY TENANT:   | Property taxes, insurance, utilities, maintenance |
| CONFIRMED BY:              | Brad Dyreng, MAI                                  |
| CONFIRMED WITH:            | Lease agreement                                   |

**ANALYSIS:** This comparable represents a similar quality/older aged building located south of the subject in Springville. This location is considered to be similar when compared to that of the subject. An upward adjustment is warranted for the comparable's inferior clear height. Office percentage is slightly inferior to the subject. Size is smaller and an upward adjustment is made. Building-to-land ratio is superior. Other physical characteristics are considered to be similar.

**COMPARABLE LEASE FIVE****PROPERTY IDENTIFICATION**

ADDRESS: 603 North 2000 West  
CITY/STATE: Springville, Utah  
ASSESSOR'S TAX PARCEL NO.: 66:682:0002  
PROXIMITY TO SUBJECT: 5.0 miles south

**BUILDING DATA**

YEAR BUILT: 2018  
EFFECTIVE AGE: 3 years  
BUILDING DESCRIPTION: Class "C", block  
QUALITY: Above Average  
BUILDING SIZE: 35,927 square feet

**SITE DATA**

LAND SIZE: 2.597 acres, or 113,125 square feet  
BUILDING/LAND RATIO: 31.8 percent  
FRONTAGE: 2000 West  
VISIBILITY: Average to Above Average  
PARKING: Adequate

**LEASE DATA**

TENANT NAME: Take A Break Spa and Billiards, Inc.  
SIZE (SQ.FT.): 24,268 square feet  
COMMENCEMENT: January 2023  
LEASE TYPE: Triple Net  
TERM/RENEWAL OPTIONS: 3.0 years  
ESCALATIONS: None  
CONTRACT RENTAL: \$11.28/sf  
OFFICE SQUARE FOOTAGE: 728 square feet (3.0%), average quality  
BUILDING HEIGHT: 20 feet  
CONCESSIONS: None  
EXPENSES PAID BY LANDLORD: Management, reserves  
EXPENSES PAID BY TENANT: Property taxes, insurance, utilities, maintenance  
CONFIRMED BY: Brad Dyreng, MAI  
CONFIRMED WITH: Lease Agreement

**ANALYSIS:** This comparable represents a superior quality/newer aged building located south of the subject in Springville. This location is considered to be similar when compared to that of the subject. Size is similar. Building-to-land ratio is similar. Office percentage is inferior. Clear height is similar. Other physical characteristics are considered to be similar.

## COMPARABLE PHOTOGRAPHS



**COMPARABLE ONE**  
**9912 North 4700 West, Cedar Hills**



**COMPARABLE TWO**  
**652 South Lakeview Parkway Bld. C, Provo**



**COMPARABLE THREE**  
**1962 North Chappel Drive, Spanish Fork**



**COMPARABLE FOUR**  
**909 North 2000 West, Springville**



**COMPARABLE FIVE**  
**603 North 2000 West, Springville**



# Lease Comparables Map



### Analysis of Comparable Data

To determine if the subject's market lease rate, the following lease comparables will be analyzed. These comparables are summarized in the table below.

| LEASE COMPARABLES SUMMARY |            |                                  |             |                |       |                |          |
|---------------------------|------------|----------------------------------|-------------|----------------|-------|----------------|----------|
| No.                       | Lease Date | Location                         | Tenant (SF) | Yearly SF Rent | Basis | Percent Office | Eff. Age |
| 1                         | 08/24      | 9912 N. 4700 West, Cedar Hills   | 10,000      | \$14.40        | NNN   | 5.0%           | New      |
| 2                         | 09/24      | 652 S. Lakeview Pkwy, Provo      | 38,096      | \$13.88        | NNN   | 14.0%          | New      |
| 3                         | 02/23      | 1962 N. Chappel Dr. Spanish Fork | 19,400      | \$11.45        | NNN   | 25.0%          | 10 yrs   |
| 4                         | 03/25      | 909 N. 2000 West, Springville    | 7,485       | \$14.59        | NNN   | 18.0%          | 15 yrs   |
| 5                         | 01/23      | 603 N. 2000 West, Springville    | 24,268      | \$11.28        | NNN   | 3.0%           | 3 yrs    |

As can be seen, the comparables indicate a range in lease rates from \$11.28 to \$14.59 per square foot. All of the comparables have been quoted based on a triple net basis and the subject will be evaluated on a triple net basis. Rental rate variances are normally attributed to six factors: property rights conveyed, terms of lease, market conditions (date of lease), rental basis, location, and physical factors.

All of the comparables represent triple net transactions which were leased under normal market conditions. Comparables three and five are slightly dated, but have been adjusted to reflect current rates based on escalations. As such, no adjustments are warranted for conditions of sale, market conditions, and/or rental basis.

As to location and physical differences, factors warranting adjustment, as detailed in the "analysis" section of the respective data sheets, will be reflected in the adjustment grid found on the following page.

| ADJUSTMENT GRID            |                           |                 |                 |                  |                 |               |
|----------------------------|---------------------------|-----------------|-----------------|------------------|-----------------|---------------|
|                            | COMPARABLES               |                 |                 |                  |                 |               |
|                            | 1                         | 2               | 3               | 4                | 5               |               |
|                            | Rent/Sq.Ft.               | \$14.40         | \$13.88         | \$11.45          | \$14.59         | \$11.28       |
|                            | Conditions of Lease       | 0%              | 0%              | 0%               | 0%              | 0%            |
|                            | Adjusted Rent/Sq.Ft.      | \$14.40         | \$13.88         | \$11.45          | \$14.59         | \$11.28       |
|                            | Market (Time) Adj.        | 0%              | 0%              | 0%               | 0%              | 6%            |
|                            | Adjusted Rent/Sq.Ft.      | \$14.40         | \$13.88         | \$11.45          | \$14.59         | \$11.96       |
|                            | Rental Basis Adj.         | 0%              | 0%              | 0%               | 0%              | 0%            |
|                            | Market Rent/Sq.Ft.        | \$14.40         | \$13.88         | \$11.45          | \$14.59         | \$11.96       |
|                            | Location<br>Average       | 0%<br>Similar   | 0%<br>Similar   | 0%<br>Similar    | 0%<br>Similar   | 0%<br>Similar |
|                            | Quality<br>Steel          | -5%<br>Block    | -5%<br>Block    | 0%<br>Steel      | 0%<br>Steel     | -5%<br>Block  |
|                            | Age/Condition<br>10 years | -10%<br>New     | -10%<br>New     | 0%<br>10 yrs     | 3%<br>15 yrs    | -7%<br>3 yrs  |
| Size<br>20,580 sf          | -5%<br>10,000 sf          | 5%<br>38,096 sf | 0%<br>19,400 sf | -10%<br>7,485 sf | 0%<br>24,268 sf |               |
| Office Finish<br>25.0%     | 5%<br>5.0%                | 3%<br>14.0%     | 0%<br>25.0%     | 2%<br>18.0%      | 5%<br>3.0%      |               |
| Building-to-Land<br>29.9%  | 1%<br>40.7%               | 0%<br>32.6%     | 1%<br>40.0%     | -1%<br>20.5%     | 0%<br>31.8%     |               |
| Site Improvements<br>Full  | 0%<br>Full                | 0%<br>Full      | 0%<br>Full      | 0%<br>Full       | 0%<br>Full      |               |
| Clear Height<br>21-25 feet | 0%<br>24 feet             | 0%<br>21feet    | 5%<br>16 feet   | 5%<br>16 feet    | 0%<br>20 feet   |               |
| ADJUSTED RENT              | \$12.38                   | \$12.91         | \$12.14         | \$14.44          | \$11.12         |               |
| NET ADJUSTMENT             | -14%                      | -7%             | 6%              | -1%              | -7%             |               |
| GROSS ADJUSTMENT           | 26%                       | 23%             | 6%              | 21%              | 17%             |               |
| Mean                       | \$12.60                   |                 |                 |                  |                 |               |



**Conclusion of Market Rent and Calculation of Potential Gross Income**

After adjustments, the value range is between \$11.12 to \$14.44 per square foot, with a five comparable average of \$12.60 per square foot. In this case, all of the comparables are good for comparison with comparable four being high by comparison and discounted. As such most weight is given the remaining comparables and a rounded rental rate of \$12.25 per square foot is concluded. At 20,580 square feet, the subject's potential gross income is calculated as follows:

$$20,580 \text{ sf @ } \$12.25/\text{sf} = \$252,105$$

**Vacancy and Collection Loss**

According to *The Appraisal of Real Estate*, vacancy and collection loss is defined as follows: "Vacancy and collection loss is an allowance for reductions in potential income attributable to vacancies, tenant turnover, and nonpayment of rent."<sup>11</sup> The allowance is usually estimated as a percentage of the potential gross income. An appropriate factor is based on the percentage of time a project is anticipated to be vacant over a typical holding period. Holding periods typically range from 7 to 10 years.

This is a deduction made to take into account space that is not leased during the economic life of the subject, or rents that cannot be collected. The allowance is usually estimated as a percentage of the potential gross income.

As detailed in the Neighborhood Analysis, vacancy for industrial space is currently at/near 4.0 percent. Given the subject's 10 year effective age and average to above average location, it should be able to perform consistent with the market. As such, an vacancy rate of 3.0 percent is concluded. This amount will be applied to the subject with an additional 0.50 percent for collection loss. Total amount of vacancy is concluded at 3.5 percent.

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<sup>11</sup> Appraisal Institute, *The Appraisal of Real Estate*, 11th ed., (Chicago: Appraisal Institute, 1996), 489.

### **Effective Gross Income**

This is the anticipated income for all operations of the property after allowance for vacancy and collection losses and before operating expenses are considered. The effective gross income is shown in the operating statement.

### **Operating Expenses**

Operating expenses are defined in *The Appraisal of Real Estate* as follows: "Operating expenses are the periodic expenditures necessary to maintain the real property and continue the production of the effective gross income."<sup>12</sup>

The expenses incurred by the owner or landlord are generally based on the terms of the lease. As noted earlier in the report, the concluded rental rate was based on triple net basis. Under triple net terms, the landlord is responsible for management and allowance for replacement. A discussion of each expense under the landlord's responsibility is discussed as follows:

#### **Management**

The management expense category is a fee which takes into account servicing the subject property; including some lease-up, accounting, and administrative costs. From conversations with Cottonwood Properties, a large real estate management company along the Wasatch Front, 3.0 to 5.0 percent of the effective gross income is an average used in the local market. In that the subject represents a single-tenant building, a management fee of 3.0 percent is concluded.

#### **Allowance for Replacement**

Prudent management would set aside reserves to replace building components which have a shorter than typical physical life. This includes cost to replace asphalt, HVAC, and roof.

A replacement allowance typically ranges from 1.0 to 3.0 percent of effective gross income. Due to the middle age of the building, a factor near the upper end of the range is justified. Therefore, a replacement allowance of 3.0 percent of effective gross income is concluded.

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<sup>12</sup>Ibid., 490.

### **Net Operating Income**

According to *The Appraisal of Real Estate*, net operating income is defined as follows: "Net operating income is the anticipated net income remaining after all operating expenses are deducted from effective gross income but before mortgage debt service and book depreciation are deducted."<sup>13</sup>

Based on the analysis of income and expenses, an operating statement is developed to show the net operating income. The subject pro forma operating statement can be found after a discussion of capitalization rate.

### **Capitalization of Net Operating Income**

Capitalization is the process of converting future benefits of ownership into a present value estimate. Future benefits consist of the income received during the holding period and the proceeds of resale of the property at the end of the holding period. In other words, the owner receives a "return on" and a "return of" his capital.

There are various ways and methods of capitalizing income. The two main capitalization methods are yield capitalization and direct capitalization. Yield capitalization is based on discounting procedures to convert future benefits to present value. This method is yield oriented and simulates typical investor's assumptions and requirements.

Direct capitalization is considered to be more market oriented. It stresses the analysis of market data and valuation by inferring the assumptions and requirements of investors. Direct capitalization is used to convert a stabilized net operating income estimate into an indication of value in one direct step by the formula:

$$\text{VALUE} = \text{NET OPERATING INCOME} / \text{CAPITALIZATION RATE}$$

Considering the physical and economic characteristics of the subject property along with the market evidence available, both direct and yield capitalization are considered to be most appropriate in valuing the subject property. Direct capitalization is the method of income valuation most always used by investors and purchasers of office buildings. Yield capitalization is also used by most major investors when there are long-term leases involved with a property.

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<sup>13</sup>Ibid., 450.

The capitalization rate is the annual return necessary to attract capital to the investment. The "return on" and "return of" capital is represented in the rate. The selection of the capitalization rate should be supported by or extracted from market evidence and transactions of competing and similar properties.

Two (\*) of the comparables within the Sales Comparison Approach provided enough information to generate an overall rate. For this reason, I have supplemented data from other sales not utilized within this report. The following table summarizes those comparables used to determine a capitalization rate for the subject:

| COMPARABLE CAPITALIZATION RATES |                     |                          |                    |                      |                         |
|---------------------------------|---------------------|--------------------------|--------------------|----------------------|-------------------------|
| COMPARABLE                      | 1                   | 2 *                      | 3                  | 4                    | 5*                      |
| LOCATION                        | 1418 W. Center Orem | 764 E. 1950 N Spanish Fk | 653 N. 500 W. Orem | 648 W. 9400 S. Sandy | 374 E. 1750 N. Vineyard |
| DATE OF SALE                    | 01/24               | 05/24                    | 07/24              | 03/25                | 08/22                   |
| SIZE (SF)                       | 8,400 sf            | 22,950 sf                | 37,292 sf          | 11,358 sf            | 42,925 sf               |
| EFFECTIVE AGE                   | 10 yrs              | 9 yrs                    | 10 yrs             | 10 yrs               | 5 yrs                   |
| BUILDING TYPE                   | Class "C"           | Class "S"                | Class "C"          | Class "C"            | Class "C"               |
| BUILDING/LAND                   | 45.0%               | 43.2%                    | 53.8%              | 40.7%                | 45.0%                   |
| CASH SALE PRICE                 | \$2,245,000         | \$3,450,000              | \$9,800,000        | \$2,505,000          | \$8,600,000             |
| TENANT                          | Local               | Local                    | Local/Regional     | Local/Regional       | Local/Regional          |
| LEASE TERM                      | 5 yrs               | 2-5 yrs                  | 10 yrs             | 1 - 2 yrs            | 2-5 yrs                 |
| EGI                             | \$142,500           | \$229,580                | \$754,518          | \$157,830            | \$493,538               |
| EXPENSES                        | \$19,000            | \$11,479                 | \$45,251           | \$7,892              | \$34,548                |
| NOI                             | \$123,500           | \$218,101                | \$709,247          | \$149,938            | \$458,990               |
| O.A.R.                          | 5.50%               | 6.32%                    | 7.24%              | 5.99%                | 5.34%                   |

All of the comparables represent stabilized properties and include expense factors for management and reserves. The foregoing data indicates a fairly narrow range in overall capitalization rates from 5.34 to 7.24 percent, with an overall average of 6.08 percent.

Given the subject's 10 year effective age, an overall rate near the upper end of the range is justified and concluded at 6.00 percent.

The foregoing discussion is summarized in the following table.

| OPERATING STATEMENT    |              |                 |
|------------------------|--------------|-----------------|
| Potential Gross Income |              | \$252,105       |
| Vacancy (3.5%)         |              | <u>(8,824)</u>  |
| Effective Gross Income |              | \$243,281       |
| Expenses               |              |                 |
| Management (3.0%)      | 7,298        |                 |
| Replacement (3.0%)     | <u>7,298</u> |                 |
| Total Expenses         |              | <u>(14,596)</u> |
| Net Operating Income   |              | \$228,685       |
| Capitalization Rate    |              | <u>/ 0.0600</u> |
| "As Is" Value Estimate |              | \$3,811,417     |
| Rounded                |              | \$3,810,000     |

### **Conclusion of Value - Income Capitalization Approach**

After careful consideration of the information presented in this section of the report, I am of the opinion that the "as is" market value of the subject property, with fee simple property rights, as of August 18, 2025, is:

**\$3,810,000**

**"THREE MILLION EIGHT HUNDRED TEN THOUSAND DOLLARS"**

**RECONCILIATION AND FINAL VALUE ESTIMATE**

Reconciliation is the final step in the valuation process where the appraisal report concludes with a final value estimate.

A brief description of the site, existing improvements, and other factors concerning the property were discussed. The property was analyzed concerning the highest and best use as if vacant.

The next step in the appraisal process was estimating the fee simple title market value of the subject through appraisal methods. The major valuation conclusions reached in the report were determined by the Sales Comparison Approach (\$3,810,000) and the Income Capitalization Approach (\$3,820,000). In this case, most weight is given the Sales Comparison Approach as the subject is appraised as fee simple.

After careful consideration of the information and analysis contained within this report, I am of the opinion that the "as is" market value of the subject property, with fee simple property rights, as of August 18, 2025, is:

**\$3,810,000**

**"THREE MILLION EIGHT HUNDRED TEN THOUSAND DOLLARS"**

**CERTIFICATION OF VALUE**

I, BRADFORD DYRENG certify that, to the best of my knowledge and belief:

- The statements of fact contained in this report are true and correct.
- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions and are my personal, impartial, and unbiased professional analyses, opinions, and conclusions.
- I have no present or prospective interest in the property that is the subject of this report and no personal interest with respect to the parties involved.
- I have not performed other appraisal services, as an appraiser, regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.
- I have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.
- My engagement in this assignment was not contingent upon developing or reporting predetermined results.
- My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.
- My analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the *Uniform Standards of Professional Appraisal Practice*.
- I have made a personal inspection of the property that is the subject of this report.
- No one provided significant real property appraisal assistance to the person signing this certification.
- The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Code of Professional Ethics and Standards of Professional Appraisal Practice of the Appraisal Institute.
- The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.



- As of the date of this report, I have completed the continuing education program of the Appraisal Institute.

September 26, 2025  
DATE



BRADFORD DYRENG

|                                                                                    |
|------------------------------------------------------------------------------------|
| Utah State - Certified General Appraiser<br>License # 6168334-CG00 (Exp. 11/30/25) |
|------------------------------------------------------------------------------------|

**GENERAL ASSUMPTIONS**

This appraisal report has been made with the following general assumptions:

1. The legal description used in this report is assumed to be correct.
2. No survey of the property has been made by the appraiser and no responsibility is assumed in connection with such matters. Sketches in this report are included only to assist the reader in visualizing the property.
3. No responsibility is assumed for matters of a legal nature affecting title to the property nor is an opinion of title rendered. The title is assumed to be good and marketable, unless otherwise stated.
4. Information furnished by others is assumed to be true, correct, and reliable. A reasonable effort has been made to verify such information; however, no responsibility for its accuracy is assumed by the appraiser.
5. All mortgages, liens, encumbrances, leases, and servitudes have been disregarded unless so specified within the report. The property is appraised as though under responsible ownership and competent management.
6. It is assumed that there are no hidden or unapparent conditions of the property, subsoil, or structures which would render it more or less valuable. No responsibility is assumed for such conditions or for engineering which may be required to discover such factors.
7. Full compliance with all applicable federal, state, and local environmental regulations and laws is assumed unless noncompliance is stated, defined, and considered in the appraisal report.
8. It is assumed that all applicable zoning and use regulations and restrictions have been complied with, unless a nonconformity has been stated, defined, and considered in the appraisal report.
9. It is assumed that all required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, or national government or private entity or organization have been or can be obtained or renewed for any use on which the value estimate contained in this report is based.
10. It is assumed that the utilization of the land and improvements is within the boundaries or property lines of the property described and that there is no encroachment or trespass unless noted in the report.

**GENERAL LIMITING CONDITIONS**

The appraisal report has been made with the following general limiting conditions:

1. The appraiser will not be required to give testimony or appear in court because of having made this appraisal, with reference to the property in question, unless arrangements have been previously made.
2. Possession of this report, or a copy thereof, does not carry with it the right of publication. It may not be used for any purpose by any person other than the party to whom it is addressed without the written consent of the appraiser, and in any event only with proper written qualification and only in its entirety.
3. The distribution of the total valuation in this report between land and improvements applies only under the reported highest and best use of the property. The allocations of value for land and improvements must not be used in conjunction with any other appraisal and are invalid if so used.
4. Disclosure of the contents of this appraisal report is governed by the By-Laws and Regulations of the Appraisal Institute.

Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser or any reference to the Appraisal Institute or to the MAI designation) shall be disseminated to the public through advertising media, public relations media, sales media or any other public means of communication without the prior written consent and approval of the appraiser.

5. Acceptance of and/or use of this appraisal report constitutes acceptance of the stated general assumptions and limiting conditions.

**SPECIAL LIMITING CONDITIONS**

1. The liability of Dyreng Real Estate Services is limited to the client only and to the fee actually received by appraiser. Further, there is no accountability, obligation, or liability to any third party. If this report is placed in the hands of anyone other than client, the client shall make such party aware of all limiting conditions and assumptions of the assignment and related discussions. The appraiser is in no way to be responsible for any costs incurred to discover or correct any deficiencies of any type present in the property; physically, financially, and/or legally. In the case of limited partnerships or syndication offerings or stock offerings in real estate, client agrees that in case of lawsuit (brought by lender, partner or part owner in any form of ownership, tenant, or any other party), any and all awards, settlements of any type in such suit, regardless of outcome, client will hold appraiser completely harmless in any such action.
2. The existence of potentially hazardous material on or near the subject site and/or used in the construction or maintenance of any of the buildings, such as the presence of urea-formaldehyde foam insulation, and/or the existence of toxic waste, which may or may not be present on the property, was not observed by myself, nor do I have any knowledge of the existence of such materials on or in the property. The appraiser, however, is not qualified to detect such substances. The existence of urea-formaldehyde foam insulation or other potentially hazardous waste material may have an effect on the value of the property. I urge the client to retain an expert in this field if desired.
3. If there is proposed construction, the appraisal is made subject to satisfactory completion of construction according to architectural plans.

**SUBJECT PHOTOGRAPHS**



**LOOKING SOUTHWESTERLY AT SUBJECT**



**LOOKING NORTHWESTERLY AT SUBJECT**



**LOOKING NORTHEASTERLY AT SUBJECT**



**LOOKING SOUTHEASTERLY AT SUBJECT**



**TYPICAL FINISH**



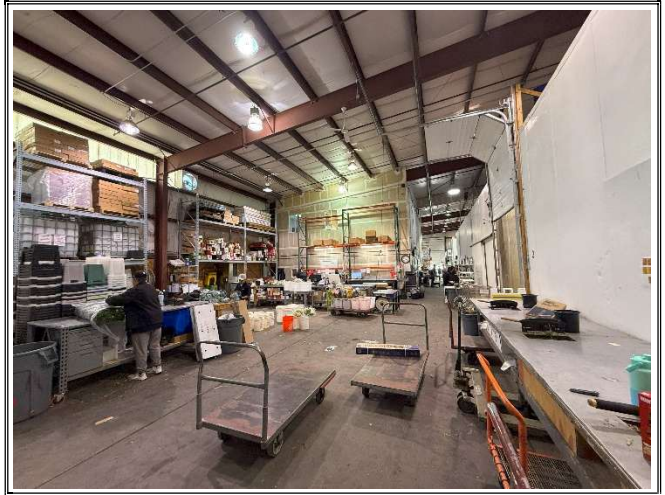
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**SUBJECT PHOTOGRAPHS**



**TYPICAL FINISH**



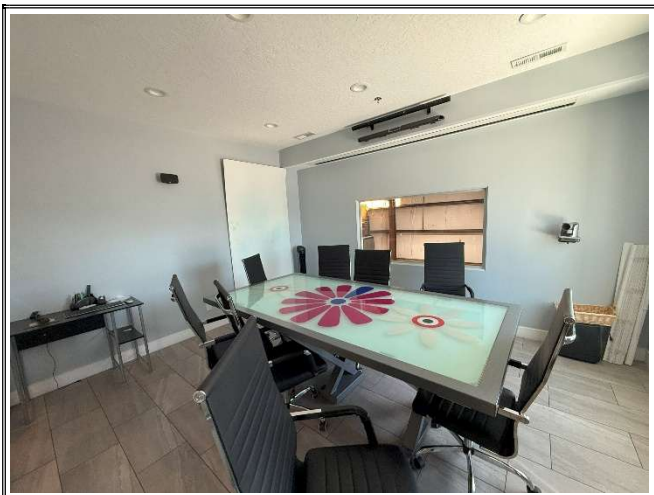
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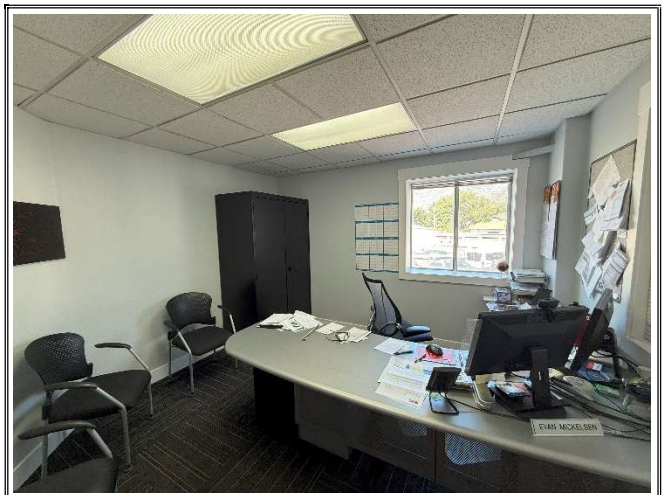
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**TYPICAL FINISH**



**TYPICAL FINISH**



**TYPICAL FINISH**

**SUBJECT PHOTOGRAPHS**



**TYPICAL FINISH**



**LOOKING WESTERLY AT 100 SOUTH**



**LOOKING EASTERLY AT 100 SOUTH**



QUALIFICATIONS OF APPRAISER  
**BRADFORD DYRENG, MAI**  
DYRENG REAL ESTATE SERVICES  
Real Estate Appraisers and Consultants  
1032 North Titan Drive  
Lehi, UT 84043

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**Education**

Utah State University, Master of Business Administration, December 2009

**Real Estate and Appraisal Courses**

Basic Appraisal Principles, Appraisal Institute 02/10  
Basic Appraisal Procedures, Appraisal Institute 02/10  
15-Hour National USPAP Course 02/10  
Online Residential Sales Comparison and Income Approach, Appraisal Institute 03/11  
Residential Site Valuation and Cost Approach, Appraisal Institute 03/11  
Online Residential Market Analysis and Highest & Best Use, Appraisal Institute 03/11  
Residential Report Writing and Case Studies, Appraisal Institute 05/11  
Business Practices and Ethics, Appraisal Institute 07/12  
General Appraiser Income Approach Part I, Appraisal Institute 03/14  
General Appraiser Income Approach Part II, Appraisal Institute 03/14  
General Appraiser Sales Comparison Approach, Appraisal Institute 06/14  
General Appraiser Site Valuation and Cost Approach, Appraisal Institute 07/14  
General Appraiser Market Analysis and Highest & Best Use, Appraisal Institute 09/14  
Real Estate Finance Statistics and Valuation Modeling, Appraisal Institute 10/14  
General Appraisal Report Writing and Case Studies, Appraisal Institute 11/14  
Small Hotel/Motel Valuation, Appraisal Institute 03/15  
Subdivision Valuation, Appraisal Institute 03/15  
7-Hour Equivalent USPAP Update Course, Appraisal Institute, 05/17  
Analyzing Operating Expenses, Appraisal Institute 12/17  
Appraising Convenience Stores, Appraisal Institute 12/17  
Data Verification Methods, Appraisal Institute 12/17  
Advanced Income Capitalization, Appraisal Institute 02/18  
Advanced Market Analysis and Highest & Best Use, Appraisal Institute 04/18  
Quantitative Analysis 10/2019  
Advanced Concepts and Case Studies 11/2019

**Work History**

Real Estate Appraiser/Consultant  
Nielsen and Company, Orem, Utah  
March 2010 to February 2020

Real Estate Appraiser/Consultant  
Dyrenge Real Estate Services, Draper, Utah  
March 2020 to Present

### **Professional Accomplishments**

Certified General Appraiser - State of Utah - License # 6168334-CG - Expires 11/30/2025  
Member of the Appraisal Institute - Member ID #539222  
MAI Designation - Appraisal Institute - February 2024

### **Appraisal Experience**

Apartment Project: 12 to 120 unit projects.  
Eminent Domain: Road widening, wetlands mitigation, utility corridors, and airport expansion.  
Hotel/Motel: Hotels and motels ranging from 40 to 120 rooms with convention facilities.  
Industrial: Office/warehouse and manufacturing facilities up to 4,000,000 square feet.  
Office Building: Single and multi-tenant facilities ranging from 1,000 to 200,000 square feet.  
Assisted Living: Various care levels ranging from 8 to 85 wards.  
Townhome and Condo projects: Single and multi-phase projects ranging from 10 to 120 units.  
Retail: Neighborhood and community centers.  
Raw Land: Land ranging from 10 to 1,000 acres.  
Subdivisions: Single and multi-phase projects ranging from 4 to 200 lots.  
Recreational Properties.

### **Partial List of Clients Served**

|                                     |                                    |
|-------------------------------------|------------------------------------|
| Zions First National Bank           | Utah Department of Transportation  |
| First Security Bank                 | Lehi City                          |
| Western Bank                        | American Fork City                 |
| Washington Mutual Bank              | Provo City                         |
| U.S. Bank                           | Orem City                          |
| Bank of American Fork               | Utah County                        |
| Central Bank                        | Springville City                   |
| Far West Bank                       | Various attorneys                  |
| Brighton Bank                       | Alpine School District             |
| Holladay Bank and Trust             | Credit Bureaus                     |
| Orem Community Bank                 | Various developers and contractors |
| Banc One                            | Grand County                       |
| Capital Community Bank              | LDS Church                         |
| American Investment Financial       | Versar Engineering                 |
| First National Bank                 | Horricks Engineering               |
| National Bank of Arizona            | RBG Engineering                    |
| Frontier State Bank                 | Celtic Bank                        |
| Wells Fargo Bank                    | Silver State Bank                  |
| GE Capital Asset Funding            | Prudential Mortgage Capital        |
| Merrill Lynch Mortgage Capital Inc. | GMAC Capital Funding               |
| National Mortgage Company           | SkyMar Capital Funding             |
| California Bank and Trust           | Mountain America Credit Union      |
| Bank of Utah                        | M & T Mortgage                     |

**STATE OF UTAH  
DEPARTMENT OF COMMERCE  
DIVISION OF REAL ESTATE**

**ACTIVE LICENSE**

**DATE ISSUED:** 12/07/2023

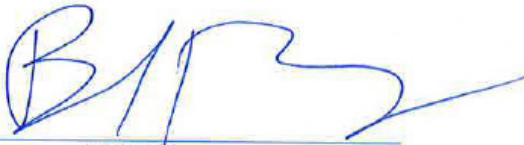
**EXPIRATION DATE:** 11/30/2025

**LICENSE NUMBER:** 6168334-CG00

**LICENSE TYPE:** Certified General Appraiser

BRADFORD BAILEY DYRENG  
13923 S ARROW CREEK DR  
DRAPER UT 84020



  
SIGNATURE

  
REAL

# **ADDENDUM**

## DEFINITIONS

These definitions have been extracted, solely or in combination, from definitions and descriptions printed in:

- The Dictionary of Real Estate Appraisal, Fourth Edition, Appraisal Institute, Chicago, Illinois, 2002 (Dictionary).
- The Appraisal of Real Estate, Twelfth Edition, Appraisal Institute, Chicago, Illinois, 2001 (Twelfth Edition).
- Marshall Valuation Service, Marshall & Swift, Los Angeles, California, (MVS).

### Absolute Net Lease

A lease in which the tenant pays all expenses including structural maintenance and repairs; usually a long-term lease to a credit tenant. (*Dictionary*)

### Accrued Depreciation

The difference between the reproduction or replacement cost of the improvements on the effective date of the appraisal and the market value of the improvements on the same date. (*Dictionary*)

### Deferred Maintenance

Curable, physical deterioration that should be corrected immediately, although work has not commenced; denotes the need for immediate expenditures, but does not necessarily suggest inadequate maintenance in the past. (*Dictionary*)

### Discounted Cash Flow (DCF) Analysis

The procedure in which a discount rate is applied to a set of projected income streams and a reversion. The analyst specifies the quantity, variability, timing, and duration of the income streams as well as the quantity and timing of the reversion and discounts each to its present value at a specified yield rate. DCF analysis can be applied with any yield capitalization technique and may be performed on either a lease-by-lease or aggregate basis. (*Dictionary*)

### Effective Date

The date at which the analyses, opinions, and advice in an appraisal, review, or consulting service apply. (*Dictionary*)

### Entrepreneurial Incentive

A market-derived figure that represents the amount an entrepreneur expects to receive as compensation for providing coordination and expertise and assuming the risks associated with the development of a project. (*Twelfth Edition*)

### Entrepreneurial Profit

A market-derived figure that represents the amount an entrepreneur receives for his or her contribution to a project and risk; the difference between the development cost of a property and its market value upon completion and stabilization, which represents the entrepreneur's compensation for the risk and expertise associated with development.

Entrepreneurial profit is an amount earned, estimated after completion, while entrepreneurial incentive is an amount anticipated, prior to development. (*Twelfth Edition*)

Exposure Time

The time a property remains on the market. The estimated length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal; a retrospective estimate based on an analysis of past events assuming a competitive and open market. Exposure time is always presumed to occur prior to the effective date of the appraisal. The overall concept of reasonable exposure encompasses not only adequate, sufficient and reasonable time but also adequate, sufficient and reasonable effort. Exposure time is different for various types of real estate and value ranges and under various market conditions. (*Dictionary*)

Fee Simple Estate

Absolute ownership unencumbered by any other interest or estate, subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat. (*Dictionary*)

Floor Area Ratio (FAR)

The relationship between the above-ground floor area of a building, as described by the building code, and the area of the plot on which it stands; in planning and zoning, often expressed as a decimal, e.g., a ratio of 2.0 indicates that the permissible floor area of a building is twice the total land area. (*Dictionary*)

Gross Building Area (GBA)

The total floor area of a building, including below-grade space but excluding unenclosed areas, measured from the exterior of the walls. All enclosed floors of the building including basements, mechanical equipment floors, penthouses, and the like are included in the measurement. Parking spaces and parking garages are excluded. (*Dictionary*)

Gross Lease

A lease in which the landlord receives stipulated rent and is obligated to pay all or most of the property's operating expenses and real estate taxes. (*Dictionary*)

Highest and Best Use

The reasonably probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and that results in the highest value. The four criteria the highest and best use must meet are legal permissibility, physical possibility, financial feasibility, and maximum profitability. (*Dictionary*)

Industrial Property Classifications

*Distribution Warehouse* - High cube single-story structures with clear ceiling heights of at least 22 feet to allow three stacking heights of seven feet each. The most common height in this market is 24-foot clear ceiling height. Some distribution buildings now have clear ceiling heights as high as 40 feet or more due to the introduction of robotic computer systems, which allow very narrow aisles and high stacking. In general, column spacing is wider than that in office warehouse buildings and office build-out is minimal, generally 10% or less.

*(Definitions Continued)*

*Flex* - Buildings designed with warehouse capabilities such as dock-high or drive-in loading doors and clear ceiling heights of 14 to 16 feet. However, they are termed flex based on their broad range of office finish and their single-story exterior office appearance. The level of office finish typically ranges from 30% to 70% and suites can be divided into relatively small units. Research & Development (R&D) buildings are generally the same as flex warehouse construction but with higher percentages of office finish, often up to 90%.

*Manufacturing* - Buildings intended to provide space in which to transform, fabricate, or assemble physical resources into other physical goods. These buildings can vary greatly in design, with low clear ceiling heights of 12 feet, to very high clear ceiling heights of 30 feet or more, according to specific industry needs.

*Office Warehouse* - Generally single-story buildings with clear ceiling heights ranging from about 16 feet to 21 feet. The level of office finish is shaped by the needs of individual tenants, the general uses within the market area, and the availability of parking. The level of office finish typically ranges from 10% to 20%. Suites are typically larger than flex warehouse space. These buildings usually have drive-in bays, dock height bays, or a combination thereof and are used for light manufacturing, services, and small-scale distribution businesses.

Insurable Value

Value used by insurance companies as the basis for insurance. Often considered to be replacement or reproduction cost plus allowances for debris removal or demolition less deterioration and noninsurable items. Sometimes cash value or market value, but often entirely a cost concept. *(MVS)*

Leased Fee Interest

An ownership interest held by a landlord with the rights of use and occupancy conveyed by lease to others. The rights of the lessor (the leased fee owner) and the lessee are specified by contract terms contained within the lease. *(Dictionary)*

Leasehold Interest

The interest held by the lessee (the tenant or renter) through a lease transferring the rights of use and occupancy for a stated term under certain conditions. *(Dictionary)*

Market Rent

The rental income a property would probably command in the open market; indicated by the current rents that are either paid or asked for comparable space as of the date of the appraisal. *(Twelfth Edition)*

Market Value

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:



(Definitions Continued)

- buyer and seller are typically motivated;
- both parties are well informed or well advised, and acting in what they consider their best interests;
- a reasonable time is allowed for exposure in the open market;
- payment is made in terms of cash in United States dollars or in terms of financial arrangements comparable thereto; and
- the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale. (*Dictionary; 12 C.F.R. Part 34.42(g); 55 Federal Register 34696, August 24, 1990, as amended at 57 Federal Register 12202, April 9, 1992; 59 Federal Register 29499, June 7, 1994*)

Marketing Time

The time it takes an interest in real property to sell on the market subsequent to the date of an appraisal. Reasonable marketing time is an estimate of the amount of time it might take to sell an interest in real property at its estimated market value during the period immediately after the effective date of the appraisal; the anticipated time required to expose the property to a pool of prospective purchasers and to allow appropriate time for negotiation, the exercise of due diligence, and the consummation of a sale at a price supportable by concurrent market conditions. (*Dictionary*)

Modified Gross Lease

A lease in which the landlord receives stipulated rent and is obligated to pay most, but not all, of the property's operating expenses and real estate taxes. (*Dictionary*)

Net Lease

Generally a lease in which the tenant pays for utilities, janitorial services, and either property taxes or insurance, and the landlord pays for maintenance, repairs, and the property taxes or insurance not paid by the tenant. Also called *single net lease*, *modified gross lease*, and *semi-gross lease*; sometimes used synonymously with *single net lease* but better stated as a *partial net lease* to eliminate confusion. (*Dictionary*)

Net Net Lease

Generally a lease in which the tenant pays for utilities, janitorial services, property taxes, and insurance in addition to the rent, and the landlord pays for maintenance and repairs. Also called *double net lease*, *NN*, *modified gross lease*, and *semigross lease*; sometimes used synonymously with *single net lease* but better stated as a *partial net lease* to eliminate confusion. (*Dictionary*)

Net Net Net Lease

A net lease under which the lessee assumes all expenses of operating a property, including both fixed and variable expenses and any common area maintenance that might apply, but the landlord is responsible for structural repairs. Also called *triple net lease* or *NNN* but better stated as a fully net lease. (*Dictionary*)

Prospective Value Opinion

A forecast of the value expected at a specified future date. A prospective value opinion is most frequently sought in connection with real estate projects that are proposed, under construction, or under conversion to a new use, or those that have not achieved sellout or a stabilized level of long-term occupancy at the time the appraisal report is written. (*Dictionary*)

Rentable Area (RA)

The amount of space on which rent is based, calculated according to local practice. (*Dictionary*)

Replacement Cost

The estimated cost to construct, at current prices as of the effective appraisal date, a building with utility equivalent to the building being appraised, using modern materials and current standards, design and layout. (*Dictionary*)

Reproduction Cost

The estimated cost to construct, at current prices as of the effective date of the appraisal, an exact duplicate or replica of the building being appraised, using the same materials, construction standards, design, layout, and quality of workmanship and embodying all the deficiencies, superadequacies, and obsolescence of the subject building. (*Dictionary*)

Stabilized Occupancy

Occupancy at that point in time when abnormalities in supply and demand or any additional transitory conditions cease to exist and the existing conditions are those expected to continue over the economic life of the property; the optimum range of long term occupancy which an income-producing real estate project is expected to achieve under competent management, after exposure for leasing in the open market for a reasonable period of time at terms and conditions comparable to competitive offerings. (*Dictionary*)

Usable Area

The area available for assignment or rental to an occupant, including every type of usable space; measured from the inside finish of outer walls to the office side of corridors or permanent partitions and from the centerline of adjacent spaces; includes subdivided occupant space, but no deductions are made for columns and projections. (*Dictionary*)

Value As Is

The value of specific ownership rights to an identified parcel of real estate as of the effective date of the appraisal; relates to what physically exists and is legally permissible and excludes all assumptions concerning hypothetical market conditions or possible rezoning. (*Dictionary*)

# ECONOMIC SNAPSHOT

## Utah County

Select Area  
Utah County



### Year-to-Year Change in Nonfarm Jobs March 2025

↑ 1,460

↑ 0.5%

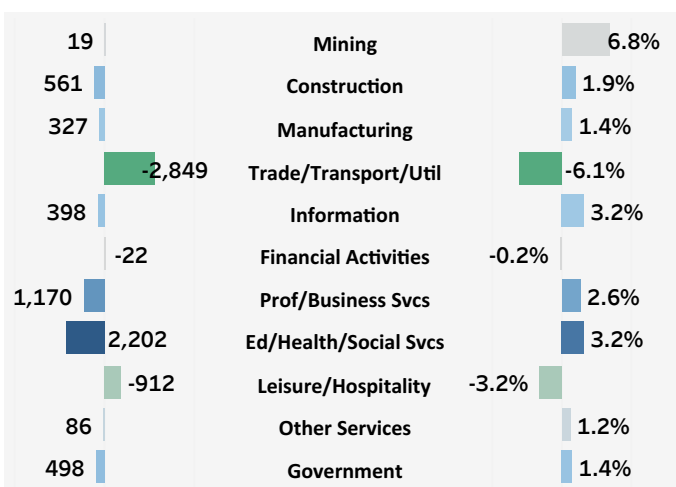
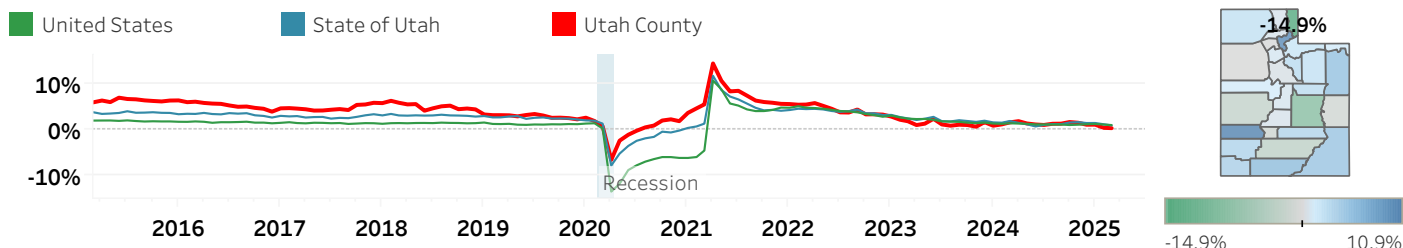
Utah County

↑ 1.1%

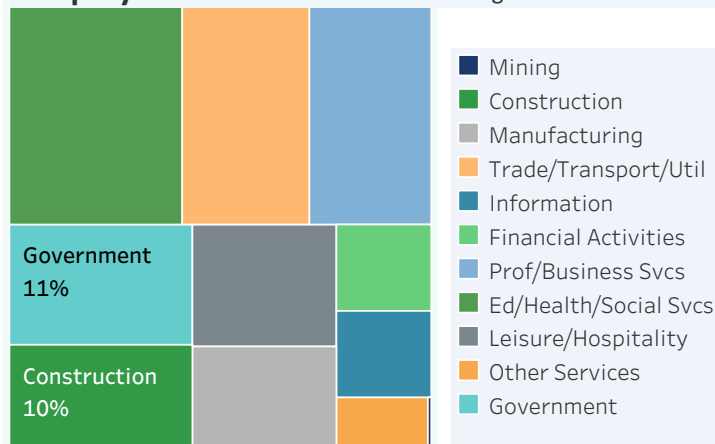
State of Utah

↑ 1.1%

United States



### Employment Share 12 Months ending March 2025\*\*



## How's the economy?

Utah County saw slower job growth in the first quarter of 2025 amid weakness in the trade, transportation & utilities sector. However, at 3.3%, the county's July unemployment rate remains in line with that of the state. Construction in the county continues to be strong in 2025, with total construction values up 79% year-to-date, driven by strong nonresidential construction, much of which has been for the construction of industrial, warehousing and manufacturing structures.

## Jobs

Utah County grew jobs by just 0.5% over the year ended March 2025 amid a 6.1% decline in trade, transportation and utilities jobs. The sector, which is the second largest industry by employment, shed 2,849 jobs over the year. However, job gains in the education, health & social services and professional & business services sectors offset these declines.

\* Preliminary. Source: U.S. Bureau of Labor Statistics; Utah Department of Workforce Services. Updated August 2025, next update November 2025.

[jobs.utah.gov/wi/insights/county/utah.html](https://jobs.utah.gov/wi/insights/county/utah.html)

Gwen Kervin, [gkervin@utah.gov](mailto:gkervin@utah.gov)

# ECONOMIC SNAPSHOT Utah County

Select Area  
Utah County



## Seasonally Adjusted Unemployment Rate July 2025

3.3%

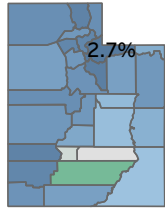
Utah County

3.3%

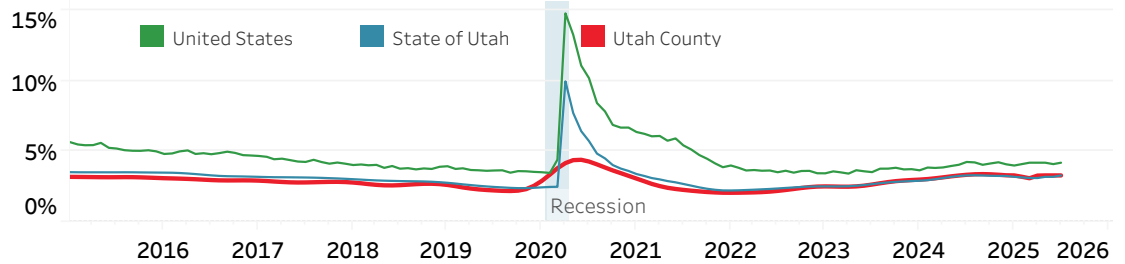
State of Utah

4.2%

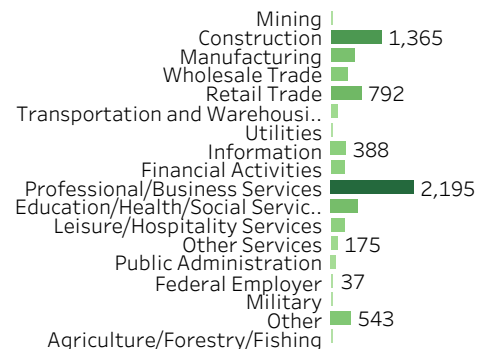
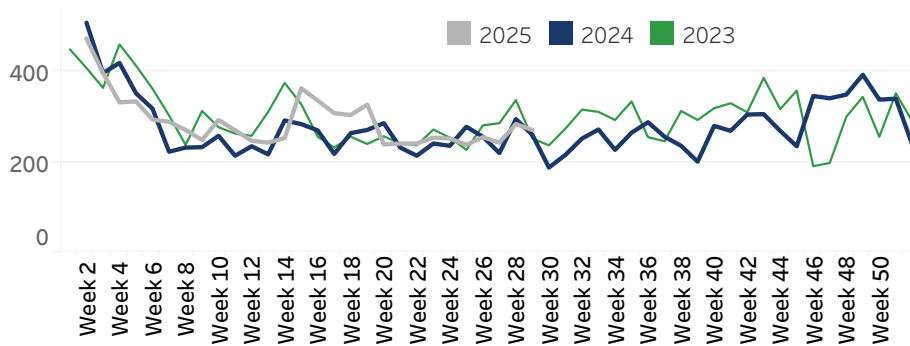
United States



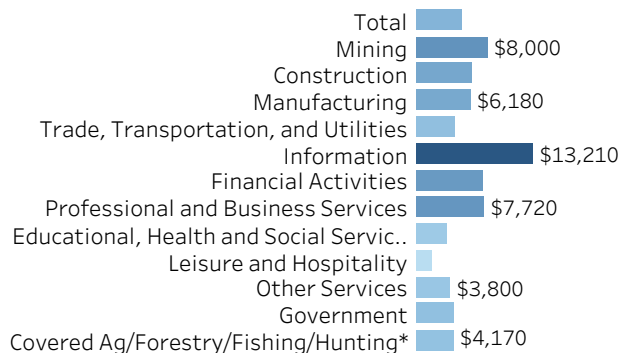
2.7% 7.5%



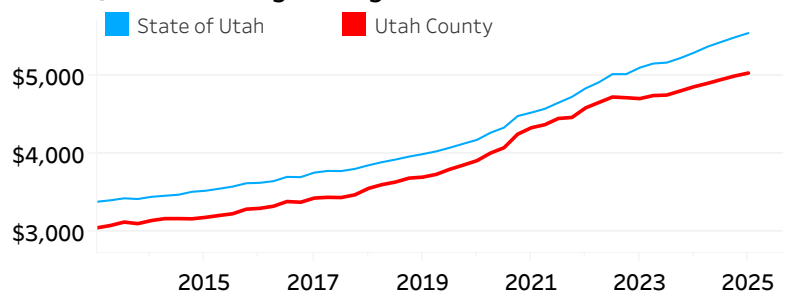
## Initial Claims for Unemployment Insurance July 13, 2025 YTD



## Average Monthly Wage\* First Quarter 2025



### Four-Quarter Moving Average



## Unemployment & Wages

Utah County's July 2025 unemployment rate came in at 3.3%, in line with that of the state. The county's unemployment rate has hovered around 3.2% and 3.3% throughout 2025. Unemployment rates at these levels still point to strong labor markets.



Over the last year, Utah County has averaged 289.3 new unemployment claims per week, a 1% increase over the previous year. In comparison, the State of Utah had a year-over-year decrease in initial unemployment claims of 2%.



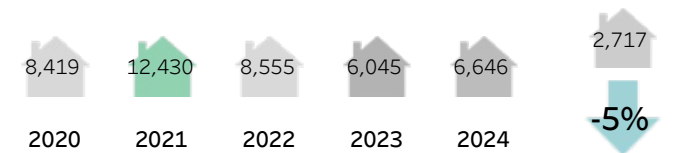
Wage growth in Utah County has lagged that of the state for the past two years. Professional and business services, which accounts for 15% of the county's employment saw average monthly wages decline by 2% over the last year. Trade, transportation and utilities, which reduced industry employment by 6.1% over the last twelve months, had one of the slowest growth rates in wages over the last 12 months, increasing..



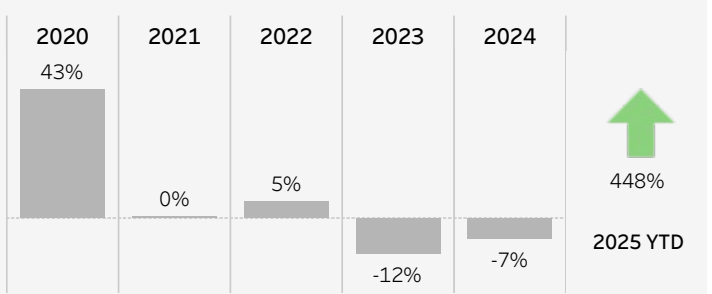
\*Preliminary. Source: U.S. Bureau of Labor Statistics and Utah Dept of Workforce Services. Updated August 2025, next update November 2025.

## Construction Permitting May 2025 YTD

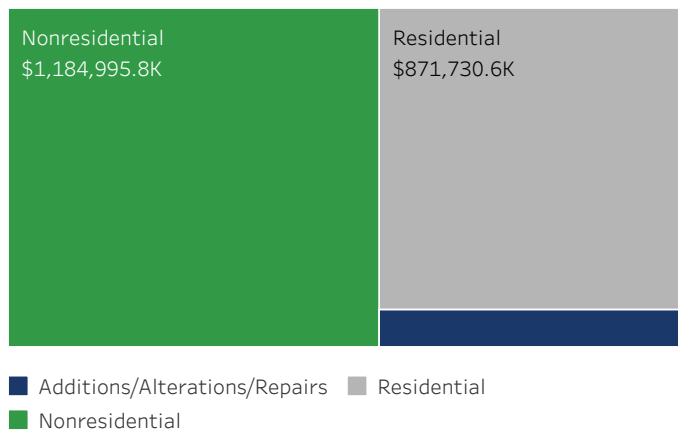
### Dwelling Unit Permits



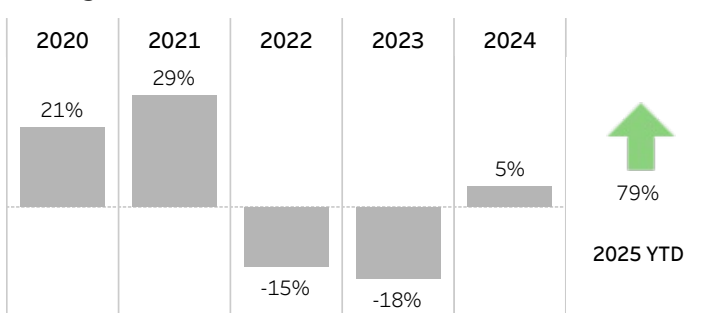
### Change in Nonresidential Values



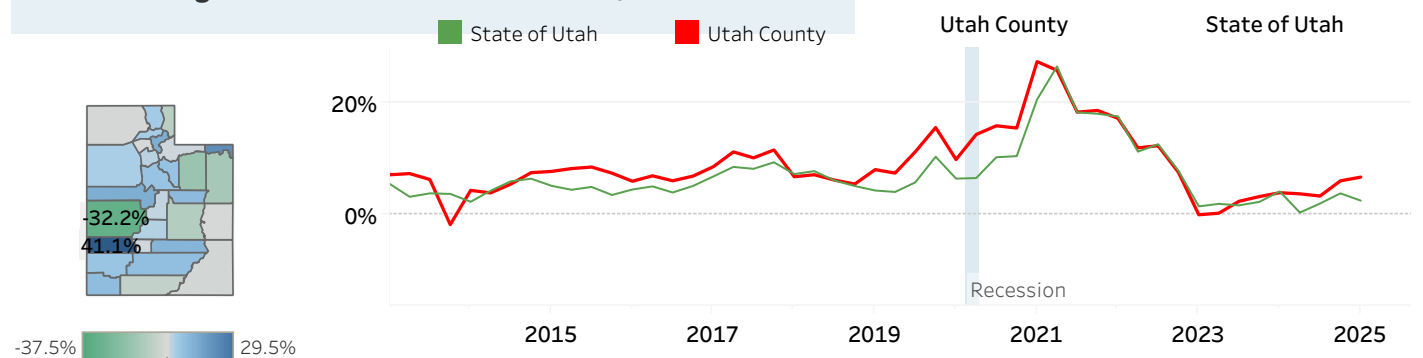
### Values to Date



### Change in Total Values



## Annual Change in Gross Taxable Sales First Quarter 2025



## Construction & Sales

Total construction permitting values in Utah County are up 79% year-to-date, buoyed by a 448% increase in nonresidential permitting values. Nonresidential permitting values stand at \$1.2 billion, \$985.7 million of which is for industrial, warehousing and manufacturing construction. 

Taxable sales are up 6.6% in Utah County, surpassing the statewide taxable sales growth rate of 2.4% for the first quarter of 2025. Taxable retail services, which makes up 57% of total taxable sales in the county, grew by 7.1% to 2.5 billion. Amid the retail sector, general merchandise stores and motor vehicle and parts dealers generated the most sales, bringing in \$556.8 million and \$540.4 million, respectively. 

# ECONOMIC SNAPSHOT Utah County



## Nonfarm Jobs First Quarter 2025\*

|                                | January 2025 |                               |                               | February 2025 |                               |                               | March 2025 |                               |                               |
|--------------------------------|--------------|-------------------------------|-------------------------------|---------------|-------------------------------|-------------------------------|------------|-------------------------------|-------------------------------|
|                                | Total Jobs   | Year-Ago<br>Numeric<br>Change | Year-Ago<br>Percent<br>Change | Total Jobs    | Year-Ago<br>Numeric<br>Change | Year-Ago<br>Percent<br>Change | Total Jobs | Year-Ago<br>Numeric<br>Change | Year-Ago<br>Percent<br>Change |
| <b>TOTAL</b>                   | 310,363      | 3,777                         | 1.2%                          | 311,225       | 1,664                         | 0.5%                          | 311,940    | 1,460                         | 0.5%                          |
| <b>GOODS PRODUCTION</b>        | 54,093       | 1,537                         | 2.9%                          | 53,860        | 1,040                         | 2.0%                          | 54,186     | 907                           | 1.7%                          |
| Mining                         | 283          | 28                            | 11.0%                         | 281           | 20                            | 7.7%                          | 299        | 19                            | 6.8%                          |
| Construction                   | 29,811       | 906                           | 3.1%                          | 29,669        | 595                           | 2.0%                          | 29,987     | 561                           | 1.9%                          |
| Manufacturing                  | 23,999       | 603                           | 2.6%                          | 23,910        | 425                           | 1.8%                          | 23,900     | 327                           | 1.4%                          |
| <b>SERVICE PRODUCTION</b>      | 256,270      | 2,240                         | 0.9%                          | 257,365       | 624                           | 0.2%                          | 257,754    | 553                           | 0.2%                          |
| Trade/Transport/Util           | 44,643       | -2,134                        | -4.6%                         | 44,298        | -2,601                        | -5.5%                         | 44,001     | -2,849                        | -6.1%                         |
| Wholesale Trade                | 6,712        | -440                          | -6.2%                         | 6,751         | -459                          | -6.4%                         | 6,742      | -377                          | -5.3%                         |
| Retail Trade                   | 32,358       | -1,357                        | -4.0%                         | 32,061        | -1,792                        | -5.3%                         | 31,888     | -1,965                        | -5.8%                         |
| Transportation/Warehousing     | 5,050        | -346                          | -6.4%                         | 4,979         | -349                          | -6.6%                         | 4,865      | -504                          | -9.4%                         |
| Utilities                      | 523          | 9                             | 1.8%                          | 507           | -1                            | -0.2%                         | 506        | -3                            | -0.6%                         |
| Information                    | 13,136       | 485                           | 3.8%                          | 13,107        | 530                           | 4.2%                          | 12,998     | 398                           | 3.2%                          |
| Financial Activities           | 12,197       | -259                          | -2.1%                         | 12,275        | -97                           | -0.8%                         | 12,334     | -22                           | -0.2%                         |
| Finance and Insurance          | 8,376        | -281                          | -3.2%                         | 8,423         | -148                          | -1.7%                         | 8,486      | -44                           | -0.5%                         |
| Real Estate and Rental/Leasing | 3,821        | 22                            | 0.6%                          | 3,852         | 51                            | 1.3%                          | 3,848      | 22                            | 0.6%                          |
| Prof/Business Svcs             | 45,507       | 1,156                         | 2.6%                          | 45,370        | 725                           | 1.6%                          | 45,911     | 1,170                         | 2.6%                          |
| Professional/Sci/Tech Svcs     | 25,721       | 198                           | 0.8%                          | 25,888        | 361                           | 1.4%                          | 25,809     | 329                           | 1.3%                          |
| Management of Companies        | 3,178        | 378                           | 13.5%                         | 3,193         | 373                           | 13.2%                         | 3,181      | 266                           | 9.1%                          |
| Admin Support/Waste Mgt        | 16,608       | 580                           | 3.6%                          | 16,289        | -9                            | -0.1%                         | 16,921     | 575                           | 3.5%                          |
| Ed/Health/Social Svcs          | 69,118       | 2,435                         | 3.7%                          | 70,284        | 2,079                         | 3.0%                          | 70,548     | 2,202                         | 3.2%                          |
| Educational Services           | 30,132       | 1,389                         | 4.8%                          | 31,110        | 1,234                         | 4.1%                          | 31,449     | 1,501                         | 5.0%                          |
| Health Care/Social Services    | 38,986       | 1,046                         | 2.8%                          | 39,174        | 845                           | 2.2%                          | 39,099     | 701                           | 1.8%                          |
| Leisure/Hospitality            | 27,316       | -498                          | -1.8%                         | 27,491        | -680                          | -2.4%                         | 27,580     | -912                          | -3.2%                         |
| Arts/Entertainment/Recreation  | 4,020        | 9                             | 0.2%                          | 4,034         | -12                           | -0.3%                         | 3,977      | -204                          | -4.9%                         |
| Accommodation/Food Services    | 23,296       | -507                          | -2.1%                         | 23,457        | -668                          | -2.8%                         | 23,603     | -708                          | -2.9%                         |
| Other Services                 | 7,406        | 89                            | 1.2%                          | 7,475         | 64                            | 0.9%                          | 7,497      | 86                            | 1.2%                          |
| <b>Government</b>              | 36,946       | 967                           | 2.7%                          | 37,064        | 605                           | 1.7%                          | 36,884     | 498                           | 1.4%                          |
| Federal                        | 1,113        | -9                            | -0.8%                         | 1,111         | -18                           | -1.6%                         | 1,108      | -9                            | -0.8%                         |
| Local                          | 25,814       | 717                           | 2.9%                          | 25,864        | 392                           | 1.5%                          | 25,650     | 316                           | 1.2%                          |
| State                          | 10,019       | 259                           | 2.7%                          | 10,089        | 231                           | 2.3%                          | 10,126     | 191                           | 1.9%                          |
| Unclassified                   | 1            | -1                            | -50.0%                        | 1             | -1                            | -50.0%                        | 1          | -18                           | -94.7%                        |
| <b>Covered Agriculture*</b>    | 1,073        | 41                            | 4.0%                          | 1,113         | 19                            | 1.7%                          | 1,115      | -42                           | -3.6%                         |
| <b>Private</b>                 | 273,417      | 2,810                         | 1.0%                          | 274,161       | 1,059                         | 0.4%                          | 275,056    | 962                           | 0.4%                          |

\*Preliminary: Source: Utah Department of Workforce Services. Updated August 2025, next update November 2025.

## **Chapter 14.20B**

### **FC2 - FREEWAY COMMERCIAL TWO ZONE**

Sections:

- 14.20B.010 Purpose and Objectives.**
- 14.20B.020 Permitted Uses.**
- 14.20B.030 Prior Created Lots.**
- 14.20B.040 Lot Standards.**
- 14.20B.050 Yard Requirements.**
- 14.20B.060 Projections into Yards.**
- 14.20B.070 Building Height.**
- 14.20B.080 Parking, Loading, and Access.**
- 14.20B.090 Transitional Development Standards.**
- 14.20B.100 Design Standards.**
- 14.20B.110 Other Requirements.**

#### **14.20B.010 Purpose and Objectives.**

The Freeway Commercial Two (FC2) zone is established to provide a transition between the freeway commercial area and the gateway into downtown. The primary use of the land is for commercial and service uses to serve regional population needs, as well as local residents, and should not compete with downtown. Buildings in this area should be attractive, well designed and create an inviting entry to the City. Required yards and areas surrounding buildings shall be attractively landscaped and maintained in harmony with the characteristics of the surrounding residential areas. The uses characteristic of this zone will be a variety of medium- to large-scale retail and business uses with satellite shops and facilities serving a wide range of goods and services.

(Enacted 2012-23)

#### **14.20B.020 Permitted Uses.**

- (1) Those uses or categories of uses as listed herein, and no others, are permitted in the FC2 zone.
- (2) All uses contained herein are listed by number as designated in the Standard Land Use Code published and maintained by the Planning Commission. Specific uses are identified by a four (4) digit number in which all digits are whole numbers. Classes or groupings of such uses permitted in the zone are identified by a four (4) digit number in which the last one (1) or two (2) digits are zeros.



(3) All such categories listed herein and all specific uses contained within them in the Standard Land Use Code will be permitted in the FC2 zone, subject to the limitations set forth herein.

(4) *Permitted Principal Uses.* The following principal uses and structures, and no others, are permitted in the FC2 zone:

| <b>Use No.</b> | <b>Use Classification</b>                                                                                                          |
|----------------|------------------------------------------------------------------------------------------------------------------------------------|
| 1511           | Hotels                                                                                                                             |
| 1512           | Motels                                                                                                                             |
| 4700           | Communications (except 4715)                                                                                                       |
| 4811           | Electric transmission right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity) |
| 4821           | Gas pipeline right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity)          |
| 4824           | Gas pressure control stations                                                                                                      |
| 4831           | Water pipeline right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity)        |
| 4835           | Irrigation distribution channels                                                                                                   |
| 4836           | Water pressure control stations and pumping plants                                                                                 |
| 4841           | Sewage pipeline right-of-way (identifies areas where surface is devoted exclusively to right-of-way activity)                      |
| 4844           | Sewage pumping stations                                                                                                            |
| 4864           | Combination utilities right-of-way (identifies areas where surface is devoted exclusively to right-of-way activity)                |
| 4873           | Storm drain or right-of-way (predominantly covered pipes or boxes)                                                                 |

| <b>Use No.</b> | <b>Use Classification</b>                                                                                                                  |
|----------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| 4923           | Travel agencies                                                                                                                            |
| 5230           | Paint, glass and wallpaper                                                                                                                 |
| 5240           | Electrical supplies                                                                                                                        |
| 5251           | Hardware                                                                                                                                   |
| 5255           | Building maintenance                                                                                                                       |
| 5256           | Swimming pool supplies                                                                                                                     |
| 5311           | Department stores (includes major and junior chain department stores)                                                                      |
| 5312           | Discount department stores                                                                                                                 |
| 5330           | Variety stores                                                                                                                             |
| 5390           | Retail trade - general merchandise                                                                                                         |
| 5400           | Food stores (groceries, meats and fish, fruits and vegetables, candy, nuts, dairy, bakeries, etc.)                                         |
| 5490           | Miscellaneous retail food establishment                                                                                                    |
| 5511           | Motor vehicles, automobiles - new car sales and used car sales which will be permitted only as an accessory use to new car sales           |
| 5515           | Motor vehicles, trucks and buses - new vehicle sales and used vehicles sales permitted only as an accessory use to new truck and bus sales |
| 5520           | Automobile accessories (except tire recapping and vulcanizing)                                                                             |
| 5530           | Gasoline service stations                                                                                                                  |
| 5594           | Motorcycles, motor scooter parts, accessories, supplies                                                                                    |
| 5600           | Apparel and accessories                                                                                                                    |
| 5700           | Furniture, home furnishings, and equipment (no combined warehousing)                                                                       |
| 5810           | Eating places (restaurants)                                                                                                                |
| 5910           | Drug and proprietary stores                                                                                                                |

| <b>Use No.</b> | <b>Use Classification</b>                                                                                                                                          |
|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 5940           | Books, stationery, art and hobby supplies                                                                                                                          |
| 5950           | Sporting goods, bicycles, and toys                                                                                                                                 |
| 5969           | Garden supplies (entirely within a building only)                                                                                                                  |
| 5970           | Jewelry                                                                                                                                                            |
| 5990           | Miscellaneous retail stores (includes florists, newspapers and magazines, photo supplies, pet stores, and other similar retail stores, excluding tobacco products) |
| 6100           | Banks, insurance and real estate (except 6123 Pawnbrokers, 6124 Bail bonds, and 6129 Other credit services)                                                        |
| 6200           | Personal services - including laundry, photography, beauty and barber services, clothing repair, etc. (except 6294 Escort services and 6295 Tattooing)             |
| 6297           | Athletic clubs, body building studios, spas, aerobic centers (no gymnasiums)                                                                                       |
| 6330           | Duplicating, mailing, stenographic and office services                                                                                                             |
| 6360           | Employment services                                                                                                                                                |
| 6493           | Watch, clock, jewelry repair, etc.                                                                                                                                 |
| 6496           | Locksmiths and key shops                                                                                                                                           |
| 6497           | Gunsmiths                                                                                                                                                          |
| 6511           | Physicians' offices and services                                                                                                                                   |
| 6512           | Dental offices and services                                                                                                                                        |
| 6520           | Legal services                                                                                                                                                     |
| 6530           | Engineering, architectural, and planning services                                                                                                                  |
| 6550           | Data processing services                                                                                                                                           |

| <b>Use No.</b> | <b>Use Classification</b>                                                                                                      |
|----------------|--------------------------------------------------------------------------------------------------------------------------------|
| 6590           | Professional services                                                                                                          |
| 6720           | Protective functions and related activities                                                                                    |
| 6730           | Postal services                                                                                                                |
| 6815           | Day care services (subject to the Day care services standards of Section <a href="#">14.34.250</a> , Provo City Code)          |
| 6833           | Beauty schools                                                                                                                 |
| 6835           | Dance studios and schools                                                                                                      |
| 7111           | Libraries                                                                                                                      |
| 7212           | Motion picture theaters (indoor - subject to the Dance Halls standards of Section <a href="#">14.34.250</a> , Provo City Code) |
| 7398           | Video rental shops                                                                                                             |
| 7600           | Parks                                                                                                                          |

(5) *Permitted Accessory Uses.* Accessory uses are permitted in the FC2 zone provided they are incidental to, and do not substantially alter, the character of the permitted principal use or structure. Such permitted accessory uses and structures include, but are not limited to, the following:

- (a) Accessory buildings such as garages, carports, equipment storage and supply storage buildings which are customarily used in conjunction with and incidental to a principal use or structure permitted in the FC2 zone; and
- (b) Storage of materials used for construction of a building, including a contractor's temporary office; provided, that such use be located on the building site or immediately adjacent thereto; and provided further, that such use shall be permitted only during the construction period and thirty (30) days thereafter.

(6) *Conditional Uses.* The following uses and structures are permitted in the FC2 zone only after a conditional use permit has been issued, and subject to the terms and conditions thereof and the standards of Section [14.34.250](#), Provo City Code:

| <b>Use No.</b> | <b>Use Classification</b>                                         |
|----------------|-------------------------------------------------------------------|
| 4715           | Communications, low power radio communication towers and antennas |
| 4814           | Electricity regulating substations                                |

| <b>Use No.</b> | <b>Use Classification</b>                                                              |
|----------------|----------------------------------------------------------------------------------------|
| 4823           | Natural or manufactured gas storage; distribution points                               |
| 4829           | Other gas utilities, NEC                                                               |
| 4834           | Water storage as part of a utility system (covered including water storage standpipes) |
| 4872           | Debris basin (a dam and basin for intercepting debris)                                 |
| 4874           | Spreading grounds (area for percolating water into underground)                        |
| 5920           | Liquor, package                                                                        |
| 5931           | Antiques (no outside display)                                                          |
| 6299           | Personal services (wedding chapel and reception centers only)                          |
| 6340           | Dwelling and building services (not dwelling units)                                    |
| 6394           | Equipment rental (indoor only)                                                         |
| 6397           | Vehicle rental (passenger automobiles only)                                            |
| 6399           | Miscellaneous business services                                                        |
| 6416-7         | Auto washing and polishing                                                             |
| 6722           | Police protection and related activities, branch (office only)                         |
| 6942           | Fraternal associations and lodges                                                      |
| 7392           | Miniature golf                                                                         |

(Enacted 2012-23, Am 2020-53)

### **14.20B.030 Prior Created Lots.**

Existing lots or parcels of land that do not meet the minimum lot standards found in Section [14.21A.050](#), Provo City Code, may not obtain a building permit without approval of a conditional use permit. A conditional use permit

may only be issued if the proposed project meets the conditions outlined in Section [14.02.040\(2\)](#), Provo City Code, in addition to the following:

- (1) The applicant has demonstrated that consolidation of property to meet the minimum lot requirements is not feasible due to surrounding projects, developments, or buildings.
- (2) Requiring a development that meets the minimum lot requirements would result in a project that would be inconsistent with the characteristics of the surrounding area or with the established pattern of the existing buildings.
- (3) The applicant has demonstrated that the property can be developed to comply with the purposes and requirements of this title without further need of variances or exceptions.

(Enacted 2012-23)

#### **14.20B.040 Lot Standards.**

Lots within the FC2 zone shall be developed according to the following:

|                       |                |
|-----------------------|----------------|
| Minimum Lot Area:     | 1 acre         |
| Minimum Lot Width:    | 100 feet       |
| Minimum Lot Depth:    | 100 feet       |
| Minimum Lot Frontage: | 100 feet       |
| Maximum Lot Coverage: | No requirement |

(Enacted 2012-23)

#### **14.20B.050 Yard Requirements.**

Yards shall be provided according to the following:

| <b>Yard</b>           | <b>Minimum</b> |
|-----------------------|----------------|
| (1) Front Yard:       | 10 feet        |
| (2) Side Yard:        | 0 feet         |
| (3) Street Side Yard: | 10 feet        |
| (4) Driveway Access:  | 16 feet        |
| (5) Rear:             | 20 feet        |

| Yard                   | Minimum                                                                                           |
|------------------------|---------------------------------------------------------------------------------------------------|
| (6) Clear Vision Area: | See Section <a href="#">14.34.100</a> ,<br>Provo City Code, Clear<br>Vision Area - Corner<br>Lots |

(Enacted 2012-23)

**14.20B.060 Projections into Yards.**

- (1) The following structures may be erected on or project into any required yard, except they may not obstruct a required driveway:
- (a) Fences and walls in conformance with the Provo City Code and other City codes and ordinances;
  - (b) Landscape elements, including trees, shrubs, and other plants; and
  - (c) Necessary appurtenances for utility services.
- (2) The structures listed below may project into a minimum front or rear yard not more than four (4) feet, and into a minimum side yard not more than two (2) feet, except that they may not obstruct a required building.
- (a) Cornices, eaves, belt courses, sills, buttresses, or other similar architectural features;
  - (b) Fireplace structures and bays, provided they are not wider than eight (8) feet and are generally parallel to the wall of which they are a part;
  - (c) Stairways, balconies, door stoops, fire escapes, awnings, and planter boxes or masonry planters not exceeding twenty-four (24) inches in height; and
  - (d) Carports and loading docks in a side yard or rear yard; provided, that such a structure is not more than one (1) story in height and is entirely open on at least three (3) sides, except for necessary supporting columns and customary architectural features.

(Enacted 2012-23)

**14.20B.070 Building Height.**

No lot or parcel of land in the FC2 zone shall have a building or structure which exceeds a height of three (3) stories with a maximum of fifty (50) feet. Chimneys, flagpoles, or similar structures not used for human occupancy are excluded in determining height.

(Enacted 2012-23)



### **14.20B.080 Parking, Loading, and Access.**

- (1) Each lot or parcel in the FC2 zone shall have on the same lot or parcel automobile parking sufficient to meet the requirements as set forth in Chapter [14.37](#), Provo City Code.
- (2) All parking spaces shall be built as described in Section [14.37.090](#), Provo City Code, and shall be provided with adequate drainage which shall not run across a public sidewalk.
- (3) Parking spaces shall not be provided within a required front yard or side yard adjacent to a public street.
- (4) Loading spaces shall be provided as required by the Planning Commission.

(Enacted 2012-23, Am 2020-09)

### **14.20B.090 Transitional Development Standards.**

- (1) Buildings or portions of buildings in the FC2 zone located adjacent to properties in any residential zone shall be located twenty (20) feet from the nearest property line of a residentially zoned property.
- (2) Loading docks shall not be located on the sides of structures which face a residential property.
- (3) Site design and access shall be oriented to flow traffic away from local secondary streets.
- (4) All business, commercial, manufacturing, and industrial development which borders a residential zone shall comply with the standards set forth in Section [14.34.300](#), Provo City Code.

(Enacted 2012-23)

### **14.20B.100 Design Standards.**

- (1) *Design Standards.* The following design standards shall apply to the FC2 zone:
  - (a) The exterior finish material on all buildings shall not consist of vinyl or metal siding (including sheet or corrugated metal), plywood, particle board or other wood products not intended as an architectural finish product, or manufactured stone.
  - (b) Building wall materials shall be combined on each facade horizontally only, with the heavier elements (material or weight) below lighter elements. For example, stone should not be above stucco, or brick should not be below concrete.
  - (c) All windows and doors, with the exception of ground level shop fronts, shall be square or vertical in proportion.

(d) Buildings in the FC2 zone are not required to be located along a public street; however, buildings that orient the rear of the building towards a public street must treat the rear elevation so it is not immediately recognizable as a building rear. A minimum of fifty percent (50%) of the rear facade must be dedicated to windows, door(s) or other facade treatments that suggest a building front. The door need not be functional as a building entrance.

(Enacted 2012-23)

### **14.20B.110 Other Requirements.**

(1) *Signs.* See Chapter [14.38](#), Provo City Code.

(2) *Uses within Buildings.* All uses established in the FC2 zone shall be conducted entirely within a fully enclosed building except those uses deemed by the Planning Commission to be customarily and appropriately conducted in the open. Such uses may include, but would not be limited to, service stations, ice skating, miniature golf, etc.

(3) *Landscaping.* See Chapter [15.20](#), Provo City Code.

(4) *Trash Storage.* See Section [14.34.080](#), Provo City Code.

(5) *Walls and Fences.*

(a) No wall, fence, or opaque hedge or screening material higher than thirty-six (36) inches shall be maintained within a required front yard in an FC2 zone.

(b) A decorative masonry wall, at least six (6) feet in height, shall be erected along all property lines which lie adjacent to a residential zone. In the case where there is mutual agreement between the property owners of the commercial zone and the adjacent residential zone, the masonry wall requirement may be modified to allow other suitable materials. A signed agreement must be submitted to the Planning Commission or its designee, indicating this agreement. In the case where there is not mutual agreement, the masonry wall will be required.

(Enacted 2012-23, Am 2022-43)

**The Provo City Code is current through Ordinance 2025-43, passed July 22, 2025.**

Disclaimer: The city recorder has the official version of the Provo City Code. Users should contact the city recorder for ordinances passed subsequent to the ordinance cited above.

[City Website: www.provo.gov](http://www.provo.gov)

[City Telephone: \(801\) 852-6000](tel:(801)852-6000)

[Hosted by General Code.](#)

# FLOOD MAP

National Flood Hazard Layer FIRMette



# LEGAL DESCRIPTION

**35:407:0003**

LOT 3, PLAT A, BROOKSIDE INDUSTRIAL PARK SUBDV. AREA 1.577 AC.